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**FOR
AGENDA**

EBS/10/221

November 29, 2010

To: Members of the Executive Board

From: The Secretary

Subject: **Zambia—Fifth Review Under the Three-Year Arrangement Under the Extended Credit Facility, Requests for Waiver of Nonobservance of Performance Criterion and Modification of Performance Criteria, and Financing Assurances Review**

Attached for consideration by the Executive Directors is a paper on the fifth review under the three-year arrangement for Zambia under the Extended Credit Facility, Zambia's requests for a waiver of nonobservance of a performance criterion and modification of performance criteria, and the financing assurances review, which is tentatively scheduled for discussion on **Friday, December 10, 2010**. Draft decisions appear on pages 14 and 15. Unless an objection from the authorities of Zambia is received prior to the conclusion of the Board's consideration, the document will be published. Any requests for modifications for publication are expected to be received two days before the Board concludes its consideration.

Questions may be referred to Mr. Tsibouris (ext. 35632), Mr. Maehle (ext. 36499), and Mr. Baldini (ext. 38794) in AFR.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Tuesday, December 7, 2010; and to the African Development Bank, the Common Market for Eastern and Southern Africa, and the European Commission, following its consideration by the Executive Board.

This document, together with a supplement providing an informational annex, will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities. The supplement, which is not being distributed in hard copy, will also be available in the Institutional Repository; a link can be found in the daily list (<http://www-int.imf.org/depts/sec/services/eb/dailydocumentsfull.htm>) for the issuance date shown above.

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INTERNATIONAL MONETARY FUND

ZAMBIA

Fifth Review Under the Three-Year Arrangement Under the Extended Credit Facility, Requests for Waiver of Nonobservance of Performance Criterion and Modification of Performance Criteria, and Financing Assurances Review

Prepared by the African Department
(In consultation with other departments)

Approved by Michael Atingi-Ego and James Roaf

November 24, 2010

Discussions: September 2–15, 2010, and October 28–November 3, 2010, in Lusaka. The staff team consisted of George Tsibouris (head), Nils Maehle, Alfredo Baldini, Perry Perone (Resident Representative) (all AFR), Joong Beom Shin (FAD), and Kazuko Shirono (SPR). The mission met with the Minister of Finance and National Planning, Dr. Musokotwane; the Governor of the Bank of Zambia, Dr. Fundanga; other senior officials; and representatives of the business community, civil society, and Zambia's development partners.

IMF relations: Zambia joined the Fund on September 23, 1965, and has accepted the obligations of Article VIII, Sections 2, 3, and 4. The fourth review under the Extended Credit Facility (ECF) arrangement was concluded in June 2010. Zambia's current three-year ECF arrangement was approved in June 2008.

Exchange rate regime: Zambia maintains a floating exchange rate regime.

In the attached letter of intent (LoI) and Memorandum of Economic and Financial Policies (MEFP), the authorities review program implementation and outline their policies for the remainder of 2010 and for 2011.

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EXECUTIVE SUMMARY

Zambia's strong economic performance continues under the Extended Credit Facility (ECF) and staff recommends completion of the fifth review.

- *All end-June 2010 quantitative performance criteria were met, and structural reforms are progressing.*
- *Strong growth and subdued inflation continue.* GDP is projected to expand by 6.6 percent in 2010; inflation declined to 7.3 percent in October 2010; the current account deficit has narrowed; and international reserves are solid.
- *The execution of the 2010 budget has been in line with the program,* though the authorities needed financing for purchase of the record maize surplus. The overall fiscal deficit is projected to be around $\frac{3}{4}$ percent of GDP higher than envisaged.
- *A case of misreporting occurred.* The breach of the end-2009 nonconcessional debt ceiling was larger (by 0.05 percent of GDP) than reported to the Board during the fourth ECF review. *De minimis* treatment is proposed.
- *The economic outlook is positive.* Copper prices have strengthened further, and credit to the private sector is picking up.

With a broadly unchanged macroeconomic outlook, the medium-term policy stance remains appropriate.

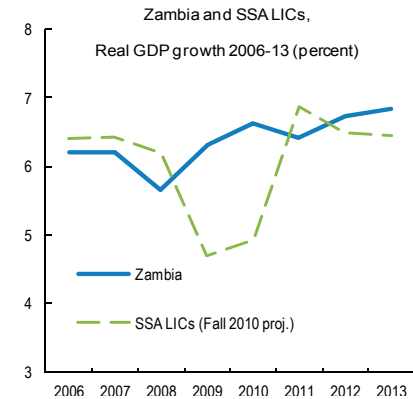
- *The 2011 budget is consistent with the authorities' medium-term fiscal strategy* to create space for priority spending to reduce poverty and enhance economic diversification to reduce Zambia's dependence on copper exports. The envisaged revenue enhancement is appropriately ambitious, and the expenditure mix shifts toward social and capital spending.
- *Infrastructure financing needs are intensifying.* The authorities plan to rely increasingly on nonconcessional financing of growth-critical infrastructure investments. In that context, they are strengthening their debt management and project appraisal capacity.
- *The authorities are undertaking a reassessment of their maize pricing and marketing policies to limit budgetary exposure.*
- *Monetary policy appropriately targets a further reduction in underlying inflation.*

I. BACKGROUND AND PROGRAM PERFORMANCE

A. Strong Growth and Moderating Inflation

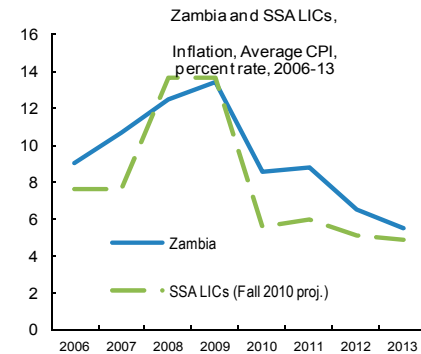
1. Economic conditions are favorable, with robust growth and moderating inflation.

Real output is projected to expand by 6.6 percent in 2010, (almost 1 percentage point higher than projected at the time of the fourth review), based on a significant increase in agricultural and mining output. Inflation declined to 7.3 percent in October 2010, mainly owing to the favorable maize crop, but underlying inflationary pressures related to nonfood remain. Buoyed by copper exports, the current account deficit is now projected to narrow in 2010 to just under 2 percent of GDP by year-end. International reserves remain relatively strong at about 3½ months of prospective imports as of end-October 2010.

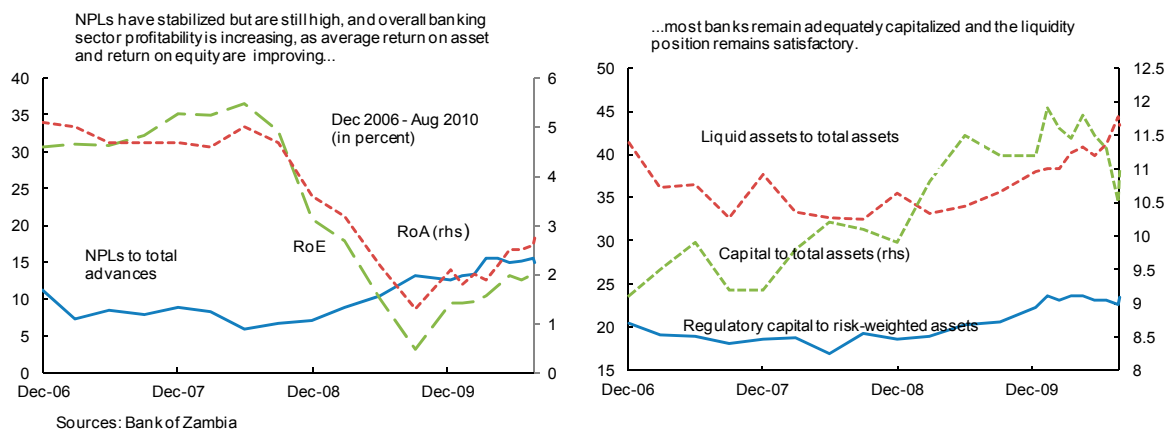


2. Broad money growth is rebounding and credit to the private sector is slowly picking up.

Lending rates are gradually declining. However, nonperforming loans remain high. The Bank of Zambia (BoZ) has intensified monitoring of one bank that has had difficulty meeting prudential requirements. Nonetheless, most banks remain well capitalized and have ample liquidity. Overall, banking profitability is edging upward, while average return on assets and return on equity are reverting to pre-crisis levels.

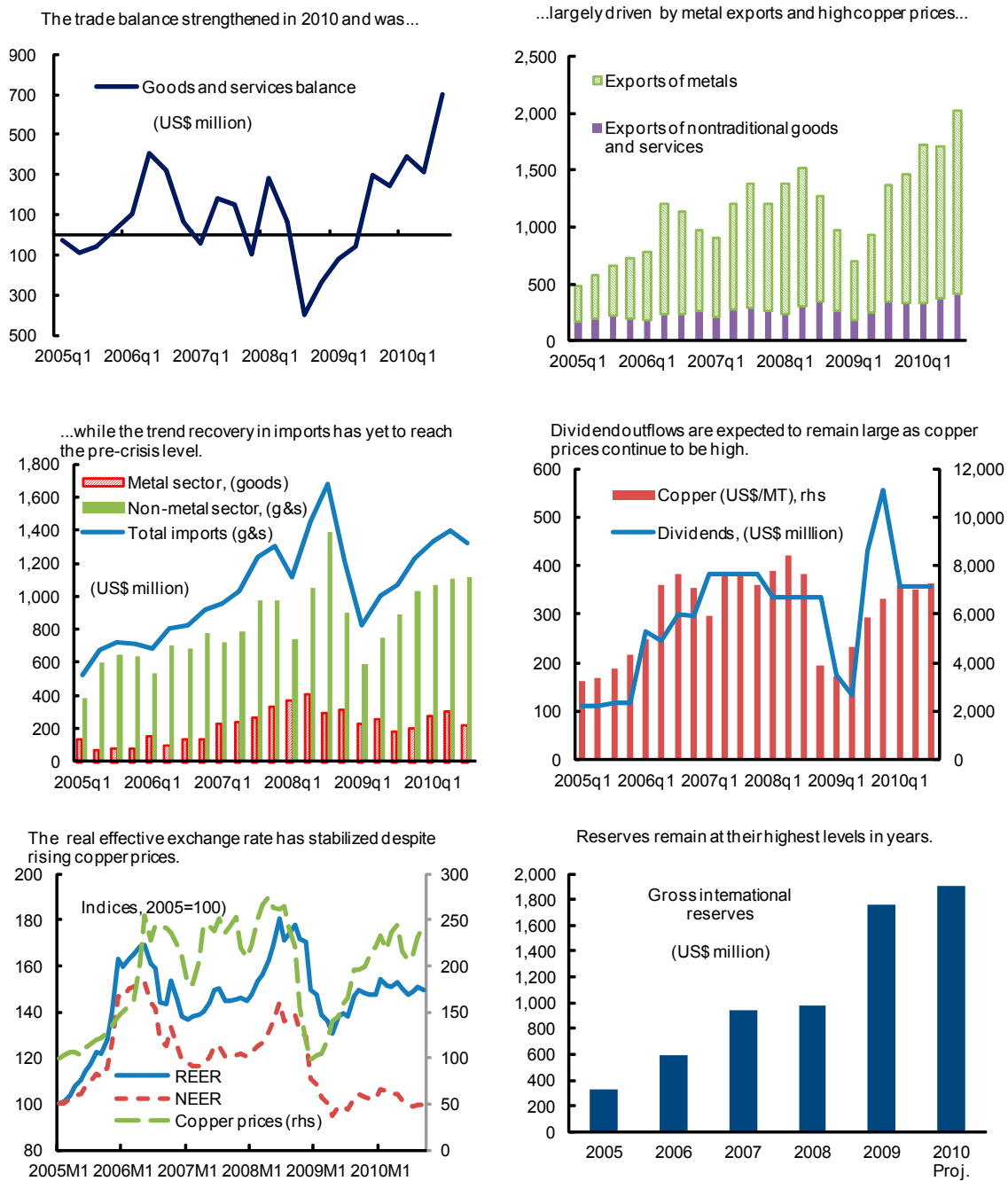


Source: IMF, World Economic Outlook, and IMF staff estimates.



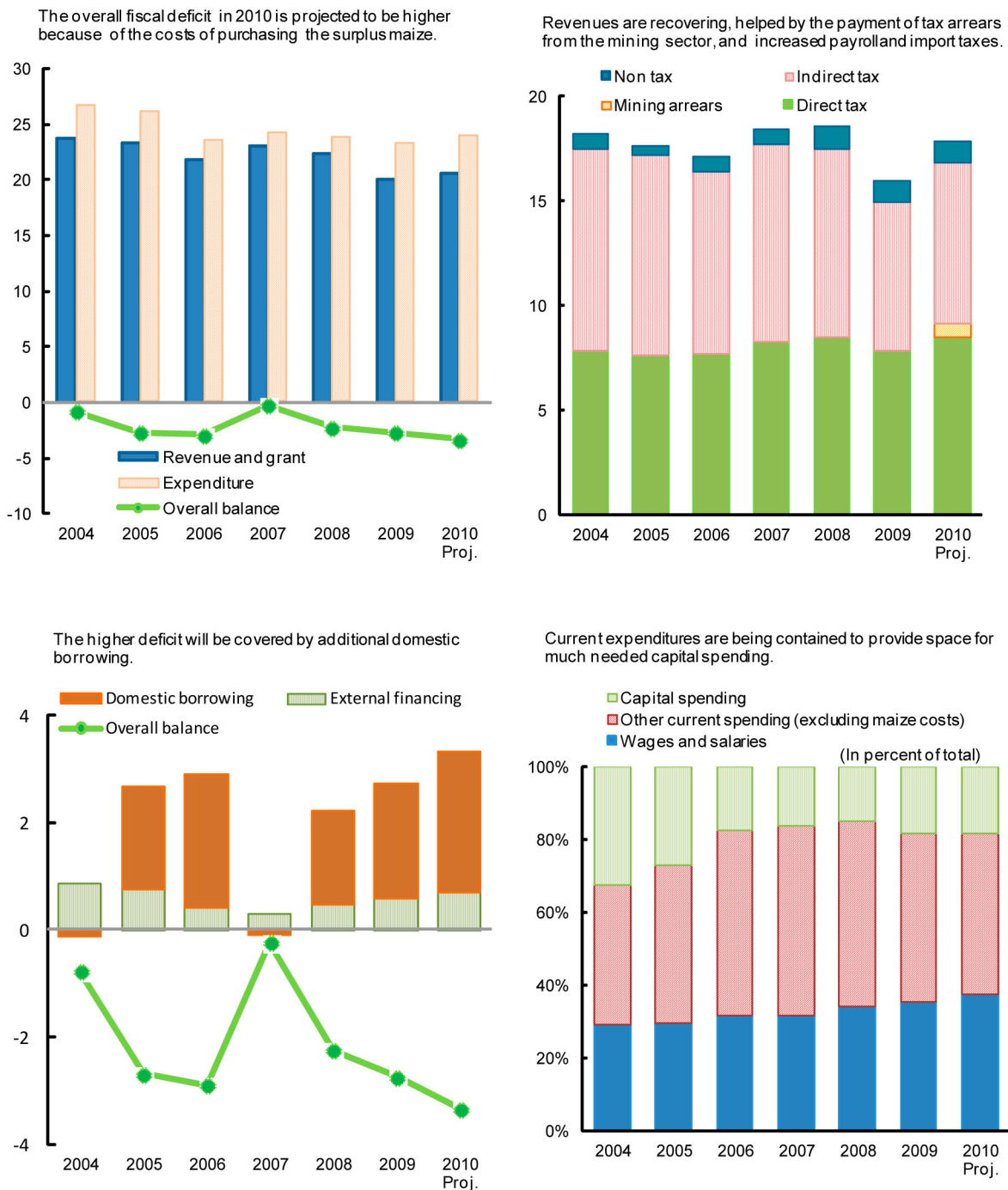
3. The execution of the 2010 budget has been broadly in line with the program, though the authorities needed financing for purchase of the record maize surplus. The overall fiscal deficit (including grants) is now projected at around 3¼ percent of GDP, compared to the programmed 2½ percent, with the government's transfers to the Food and Reserve Agency for the purchase of maize amounting to 1½ percent of GDP.

Figure 1. Zambia: Balance of Payments Developments
2005Q1 - 2010Q3



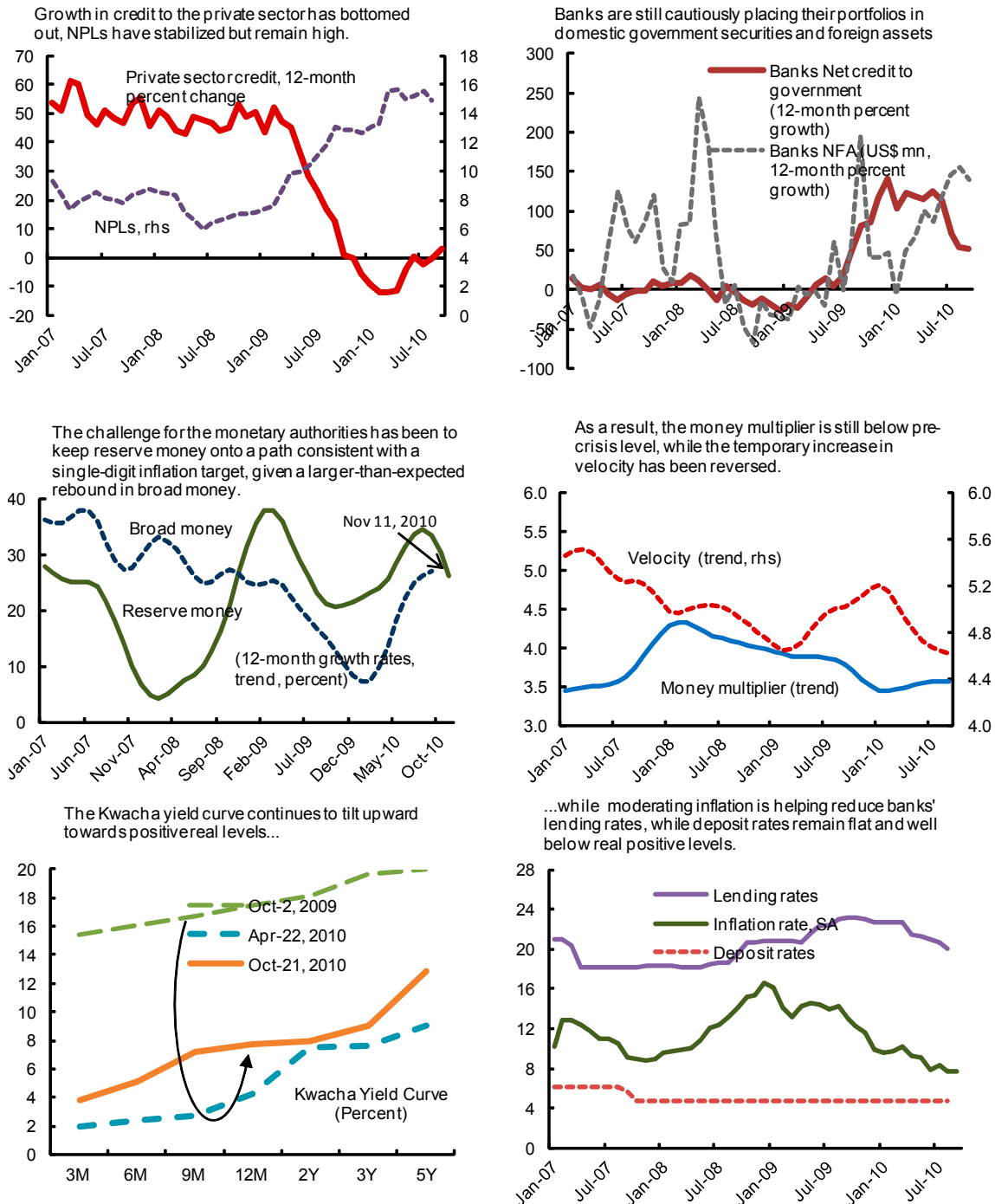
Sources: Zambian authorities and Fund staff estimates.

Figure 2. Zambia: Fiscal Developments, 2004-2010
(Percent of GDP)



Sources: Zambian authorities and Fund staff estimates.

Figure 3. Zambia: Monetary and Credit Developments, January 2007- September 2010



Sources: Bank of Zambia and Fund staff estimates.

B. Program Performance

4. **All performance criteria for end-June 2010 were met.**¹ Two of the three structural benchmarks for end-June and end-September 2010 were also met, albeit one with a modest delay—the Energy Regulation Board approved the electricity tariff increase in July. The government has established a lender-of-last resort framework, but preparation of the draft legislation and procedures for the financial sector contingency plan are taking longer than anticipated. The authorities finalized the review of tax administration and policy (structural benchmark for end September 2010), drawing from recommendations of the recent Fiscal Affairs Department technical assistance mission. The payment of domestic arrears at end-June 2010 was less than the indicative program floor because the prerequisite investigation and verification process took longer than envisaged.

5. **A case of misreporting occurred, whereby the breach of the end-2009 nonconcessional debt ceiling was larger than reported to the Board during the fourth ECF review.** In March 2010, the authorities reported that a US\$6 million (equivalent to 0.05 percent of GDP) OPEC Fund for International Development loan for a cancer hospital (signed on June 12, 2009) had an interest rate of 1.25 percent and a computed grant element at slightly above the 35 percent program threshold. Subsequent information from the authorities revealed that the contracted interest rate was in fact 1.5 percent, resulting in a grant element of 33.6 percent. The authorities attribute this error to delays in communication within the various units involved in negotiating the loan. As a result, the reported basis for the IMF Executive Board granting the waiver for the nonobservance of the performance criterion on nonconcessional borrowing at the time of the fourth review was inaccurate, and the disbursement of SDR 18.3 million that Zambia received on completion of the fourth review was a noncomplying disbursement.

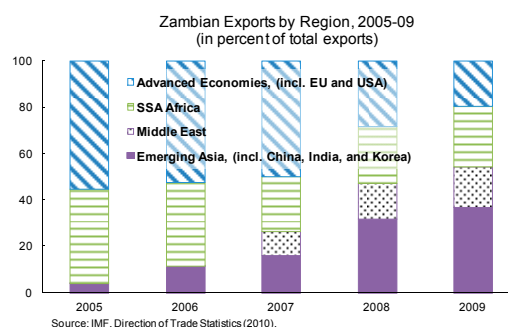
6. **Staff recommends that this case of misreporting be addressed under *de minimis* procedures.**² The deviation is considered so small as to be trivial, with no impact on the assessment of program performance. Furthermore, its impact on debt sustainability is negligible. The authorities are fundamentally restructuring the relevant debt management office and strengthening the assessment, recording, and provision of timely external debt data, and related procedures. They have reiterated their commitment to consult with IMF staff prior to contracting any potentially new nonconcessional loans. The authorities request and staff supports the granting of a waiver for the nonobservance of the end-December 2009 ceiling on nonconcessional borrowing.

¹ See Tables 1 and 3 of the attached Memorandum of Economic and Financial Policies.

² “*Making the Misreporting Policies Less Onerous in De Minimis Cases*,” EBS/06/86 and Appendix I to the PRGT Trust Instrument, as amended by Decision No. 13849—(06/108), December 20, 2006.

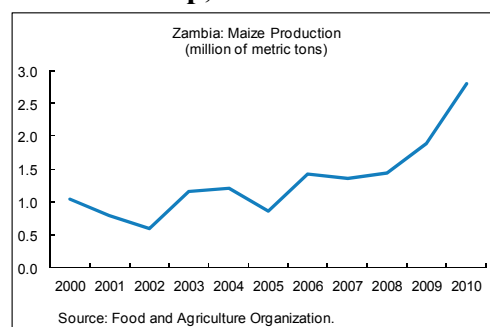
II. POLICY DISCUSSIONS

7. **With a broadly unchanged macroeconomic outlook, the medium-term policy stance remains appropriate.** External demand for Zambian products is expected to remain strong, with more than half of its exports now going to Asia and the Middle East. Domestic demand should gradually recover as broad-based real economic activity intensifies and bank lending to the private sector continues to pick up after the sharp contraction in 2009. The main risks include possible adverse developments in world copper and aid inflows. Fiscal policy discussions focused on incorporating the maize market intervention into the 2010 fiscal program and on creating fiscal space to boost capital and social spending in the 2011 budget and onward. With pressing infrastructure needs, the authorities plan further nonconcessional borrowing to finance infrastructure, consistent with debt sustainability, and premised on effective debt management and project appraisal.



A. Fiscal Policy

8. **Budgetary pressures for the end of 2010 have intensified because of the government's intermediary marketing role for the maize crop, which has far exceeded expectations this year** (see Box 1 and MEFP ¶6). The 2009/10 maize crop hit a historical high of 2.8 million metric tons, more than double the average for the past decade. The Food Reserve Agency (FRA), supported by moderate budgetary resources, has traditionally purchased surplus maize from smallholder farmers at preannounced prices, to on-sell during the lean period and maintain a strategic reserve. This year's record surplus crop has far exceeded FRA's capacity to finance such purchases (about 1.7 percent of GDP) on a



Zambia: Fiscal Operations of the Central Government
(Percent of GDP)

	Average 2003-09	2010 Prog.	2011 Proj.
Revenue	18.0	17.8	18.4
Expenditures	25.8	23.9	23.4
Current expenditures	18.7	19.4	16.7
Capital expenditure	6.5	4.2	6.3
Domestically financed	2.1	3.0	3.7
Foreign financed	4.4	1.2	2.6
Overall balance (cash basis)	-1.7	-3.3	-3.2
Financing	1.7	3.3	3.2
External financing (net)	0.7	0.7	1.8
Domestic financing (net)	1.0	2.6	1.4
Memorandum items:			
Mining taxes	0.6	2.2	2.2
External budget support	1.4	1.7	0.9

Sources: Zambian authorities; and IMF staff estimates and projections.

Zambia: Financial Implications of the 2010 Maize Market Intervention

	2010		2011		2012	
	Kwacha (billions)	Percent of GDP	Kwacha (billions)	Percent of GDP	Kwacha (billions)	Percent of GDP
Food Reserve Agency						
Revenues	1,127	1.5				
Budgeted transfer from the treasury	150	0.2				
Required additional transfer from the treasury	977	1.3				
Maize exports			360	0.4	326	0.4
Expenditures (maize purchase)	1,302	1.7				
Financing (commercial borrowing)	179	0.2				
Budgetary Impact						
Additional revenue efforts ¹	495	0.7				
Transfers from FRA			360	0.4	326	0.4
Expenditures	992	1.3				
Additional transfers to FRA	977	1.3				
Interest costs	15	0.02	50	0.06		
Financing (additional domestic borrowing)	497	0.7				

Source: Zambian authorities and Fund Staff estimates.

¹ One-off payment of accrued tax arrears from the mining sector, previously unbudgeted.

commercial basis, and the government has stepped in to finance the residual amount (about 1.5 percent of GDP). The authorities are assessing their maize marketing and pricing policy, drawing on the lessons from this year to prevent a recurrence next year (MEFP ¶24; new structural benchmark for end-March 2011). Governance reforms, including in the health and road sectors, are underway (MEFP ¶28–30).

Box 1. Role of Government in the Maize Market

The government has played a central role in maize marketing in Zambia during most of the post-independence period. Maize trading was deregulated in the early 1990s, but state intervention and control have been increasingly reintroduced. The 2005 Food Reserve Act amendment instructs the Food Reserve Agency (FRA) to engage in maize marketing, determine prices; and export any excess supply.

- FRA sets a floor price based on production costs and on consultations with the stakeholders. The announced floor price is only mandatory for FRA, and private trades commonly occur at lower prices. The prevailing FRA floor of kwacha 64,000 per 50kg bag was announced in May 2009 and retained for the 2010 season. Maize prices in the region have slumped and now stand at about kwacha 40,000 per 50kg bag.
- FRA buys only from smallholder farmers and there are limits on the number of bags that can be purchased from each farmer. They base total purchase volume on food security needs, budget allocations, and the market situation.
- Exporting and importing maize requires a license, which is granted for one year at a time. Exports of some 100,000 metric tons and 1.1 million metric tons were permitted for the 2008/09 and 2009/10 marketing seasons.

9. **The 2011 budget is consistent with the authorities' medium-term strategy of generating fiscal space and using it for infrastructure spending** (MEFP ¶13). The envisaged revenue enhancement is appropriately ambitious and stems from new tax policy measures, administrative improvements, and planned payments as part of normalizing tax relations with the mining companies. The expenditure mix shifts toward capital spending,³ while holding the line on wages through tight limits on new hiring. With an expected reduction in external budget support, an increased proportion of infrastructure spending (particularly in energy and roads) will be financed nonconcessionally.

³ This will require increased spending on operations and maintenance after completion of these new capital projects.

B. Monetary Policy

10. **The authorities are committed to bringing down inflation to 8 percent by end-2010 and to 7 percent by end-2011**(MEFP ¶15). Staff and the authorities agreed that a moderate tightening of monetary policy was appropriate, particularly given the liquidity injection stemming from the recent maize purchase. This would help rein in broad money growth and give greater confidence in achieving the authorities' announced inflation target. In 2011, broad money is projected to expand by 15 percent, broadly in line with nominal GDP, and reserve money is targeted to grow by almost 12 percent. The envisaged monetary program would provide ample room for increased credit to the private sector. Commercial bank lending rates should continue to decline as inflation expectations are dampened and nonperforming loans are being brought under control. A lowering of bank operating costs is needed to reduce (real) lending rates further.

11. **Keeping the reform momentum in the financial system is critical to strengthening its stability and increasing efficiency** (MEFP ¶22, 23). The Bank of Zambia's priorities, as formulated in phase II of the Financial Sector Development Plan, are to improve access to financial services and enhance market infrastructure and the financial safety net (through the Financial Sector Contingency Plan and development of a Deposit Protection Scheme). Staff concurs with these priorities.

C. Infrastructure Financing

12. **Infrastructure financing needs are becoming more acute**, with large growth-critical electricity and transportation projects in the pipeline (MEFP ¶13, 31). Electricity peak-load shortages and the thin and deteriorating road infrastructure are fundamental impediments to economic diversification and to a further strengthening of economic growth. Given challenges in identifying sufficient concessional resources, the government intends to continue contracting relatively modest amounts of loans on nonconcessional terms to finance electricity and road projects. These loans would not have a material impact on debt dynamics, with the risk of debt distress remaining low and well beneath critical thresholds (see the DSA supplement). The authorities request, and staff supports, a shift from nonconcessional borrowing tied to specific projects to a sector-based approach in the program, because this would provide more flexibility to align project sequencing to changing circumstances.

13. **Increased reliance on nonconcessional financing for infrastructure spending will go hand-in-hand with an enhancement of debt management and project appraisal capacity** (MEFP ¶32, 33). Debt management has suffered from insufficient focus. The authorities are determined to tackle this problem speedily through a reshuffling of staff and enhanced staff training. There will soon be a fundamental restructuring of the external debt recording and external debt management units along functional lines, to create a Debt Management Office structured in line with international best practices. The authorities are

also putting in place procedures to reconcile manual and electronic debt data records. Progress in strengthening the effectiveness of the Debt Management Office will be monitored by staff in the next program review. Investment projects are routinely subject to appraisals of viability, but the authorities realize that their project appraisal capacity could be strengthened. They intend to rely increasingly on private sector expertise while their expertise is bolstered through technical assistance.⁴ Staff supports the authorities' plans in these areas.

D. Other

14. **The authorities continue to make efforts to settle arrears to external private creditors stemming from the past imposition of exchange controls.** Settlement terms similar to those provided by the Paris Club were offered to commercial creditors with outstanding arrears. The authorities are continuing to verify outstanding claims to private entities and individuals. The exchange restrictions evidenced by the accumulation of these external payments arrears are subject to Fund approval under Article VIII.

III. PROGRAM MONITORING AND MODIFICATION OF PERFORMANCE CRITERIA

15. **Program monitoring will continue on a semiannual basis.** The authorities propose modification of two quantitative performance criteria (on net domestic assets and net domestic financing) for end-December 2010 (MEFP Table 1). Indicative targets have been set for 2011 (MEFP Table 2). The authorities also request replacement of the project-specific nonzero nonconcessional borrowing ceiling set at the time of the fourth ECF review with sector-specific ceilings for the roads and electricity. In the structural area, the sixth review will be based on an assessment of progress under the authorities' reform program, in particular public financial management, maize market policies, and financial sector reforms, to achieve the macroeconomic objectives described in Table 3 of the MEFP.

IV. STAFF APPRAISAL

16. **Economic performance continues to be strong.** All end-June 2010 quantitative performance criteria were met, and structural reforms are progressing. Inflation is subdued; the current account deficit has narrowed; international reserves have remained solid; and the economic outlook is positive with continued strong growth. Zambia's risk of debt distress remains low.

17. **Going forward, the key medium-term fiscal policy challenge remains to create space for priority spending to reduce poverty, enhance economic diversification, and reduce Zambia's dependence on copper exports.** The 2011 budget is consistent with

⁴ A 2009 joint IMF-World Bank mission provided technical assistance on formulation of a debt management strategy and feedback on the authorities' existing debt management strategy.

meeting these challenges. The envisaged revenue enhancement is appropriately ambitious, and the expenditure mix shifts toward social and capital spending. Further measures are needed, however, over the medium term to enhance revenue mobilization, contain current spending, and improve spending efficiency.

18. **Infrastructure financing needs are becoming more acute.** The planned increased reliance on nonconcessional financing of infrastructure needs is appropriate given the circumstances and the moderate external debt levels. The authorities should strictly direct nonconcessional financing to growth-critical spending that will provide the highest possible economic return. Strengthened debt management and project appraisal capacity is critical in this regard. Staff welcomes the authorities' determination to address these issues speedily.

19. **Monetary policy appropriately targets a further reduction in underlying inflation.** The agreed moderate tightening of monetary policy should help keep broad money growth in check and ensure that inflation continues to decline as targeted. Staff welcomes the Bank of Zambia's proactive approach in bank supervision and its commitment to continued financial sector development. Implementation of the second phase of the Financial Sector Development Plan should help enhance market infrastructure, increase access to financial services, and strengthen the financial safety net.

20. **Staff welcomes the authorities' commitment to reassessing their maize pricing policies.** The exceptionally large bumper maize harvest and its resulting significant impact on the budget highlight the need to reassess the government's maize policy. To prevent a recurrence in subsequent years, staff urges the authorities to establish a pricing and marketing system for maize that limits budgetary exposure, is reflective of market conditions, and gives a gradually larger role to the private sector in domestic and external trade in agriculture products, including maize.

21. **Staff recommends the completion of the fifth review under the ECF arrangement and the financing assurances review.** It supports the request for a waiver of the missed end-2009 ceiling on nonconcessional borrowing. The breach of the ceiling was so small as to be trivial with no material impact on debt sustainability, and the authorities are taking further measures to strengthen debt management. Staff also supports the authorities' request for modification of end-December 2010 performance criteria. The exogenous maize shock that the country experienced was large. The authorities intend to capitalize on lessons learned and remain committed to sound macroeconomic policies.

PROPOSED DECISIONS

The following decisions, which may be adopted by a majority of votes cast, are proposed for adoption by the Executive Board:

I. Waiver for Noncomplying Disbursement

1. The Fund notes the findings and recommendations of the Managing Director set forth in EBS/10/221 on the noncomplying disbursement made to Zambia on June 25, 2010 following the completion of the fourth review under the Extended Credit Facility Arrangement for Zambia (EBS/08/53, Cor.1, 6/4/08), and in particular the recommendation to waive the nonobservance of the continuous performance criterion on nonconcessional external debt, as specified in paragraph 4(aa) of the ECF Arrangement for Zambia, on the grounds that this nonobservance was the result of a *de minimis* deviation.

2. Accordingly, the Fund decides to waive Zambia's nonobservance of the continuous performance criterion on nonconcessional external debt as specified in paragraph 4(aa) of the ECF Arrangement for Zambia, on the condition that the information provided by Zambia as the basis for this decision is accurate.

II. Fifth Review under Zambia's ECF Arrangement, Financing Assurances Review and Modification of Performance Criteria

1. Zambia has consulted with the Fund in accordance with paragraphs 4(ccc) and 5(e) of the three-year arrangement for Zambia under the Extended Credit Facility (ECF) (EBS/08/53, Cor. 1, 6/4/08) (the "Arrangement") in order to review program implementation and financing assurances.

2. The letter dated November 24, 2010 from the Minister of Finance and National Planning of Zambia (the “November 2010 Letter”), along with its attached Memorandum of Economic and Financial Policies (the “November 2010 Memorandum”) and the Technical Memorandum of Understanding (the “November 2010 TMU”), shall be attached to the Arrangement, and the letter dated May 7, 2008 from the Minister of Finance and National Planning of Zambia, and its attachments, as amended, shall be read as supplemented by the November 2010 Letter, and its attachments.

3. Accordingly, the Arrangement shall be amended as follows:

(a) Paragraph 4(aaaa) shall be amended such that the targets as of December 31, 2010 for the performance criteria referred to in paragraph 4.(a)(i) and 4. (a)(ii) shall be as specified in Table 1 of the November 2010 Memorandum and as further specified in the November 2010 TMU.

(b) The continuous performance criteria referred to in paragraphs 5(a) through 5(c) of the Arrangement shall be as specified in Table 1 of the November 2010 Memorandum and as further specified in the November 2010 TMU

(4) The Fund decides that the fifth program review contemplated in paragraph 4(ccc) of the Arrangement and that the financing assurances review as specified in paragraph 5(e) of the Arrangement are completed and that Zambia may request the disbursement of the sixth loan referred to in paragraph 2(f) of the Arrangement.

Table 1. Zambia: Selected Economic Indicators

	2009	2010		2011		2012	2013
		Prog. EBS/10/116	Rev. Prog.	Proj. EBS/10/116	Rev. Proj.	Proj.	Proj.
(Percent changes; unless otherwise indicated)							
National account and prices							
GDP growth at constant prices	6.3	5.8	6.6	6.0	6.4	6.7	6.8
GDP deflator	10.4	9.8	10.3	8.3	7.6	5.5	4.6
GDP at market prices (Billions of kwacha)	64,616	76,385	76,015	87,756	87,014	98,012	109,488
Consumer prices							
Consumer prices (average)	13.4	8.2	8.6	7.5	8.8	6.5	5.5
Consumer prices (end of period)	9.9	8.0	8.0	7.0	7.0	6.0	5.0
External sector							
Terms of trade (deterioration -)	-14.6	14.1	30.1	4.9	-3.1	-7.4	-8.1
Average exchange rate (kwacha per U.S. dollar)	5,046	...	...	...	...	...	...
(percentage change; depreciation -)	-34.7	...	...	...	...	...	...
Real effective exchange rate (depreciation -) ¹	-14.7	...	...	...	...	...	...
Money and credit (end of period, unless otherwise specified) ²							
Domestic credit to the private sector	-5.7	15.5	14.0	15.5	18.3	...	...
Reserve money (end of month)	19.3	9.7	8.0	13.7	11.7	...	...
Broad Money (M3)	7.7	16.0	23.5	18.0	15.0	...	...
(Percent of GDP; unless otherwise indicated)							
National accounts							
Gross investment	22.1	22.5	22.5	22.8	22.8	24.2	22.2
Government	4.3	4.7	4.2	4.7	6.3	8.7	8.6
Private	17.8	17.8	18.3	18.1	16.5	15.5	13.6
National savings	16.5	20.4	21.8	20.0	20.2	19.2	17.0
Gross foreign savings	5.6	2.1	0.7	2.8	2.6	5.0	5.2
Central government budget							
Revenue	18.6	16.3	17.8	17.1	18.4	18.5	18.7
Tax	17.5	15.4	16.8	16.6	17.6	17.7	17.9
Nontax	1.0	0.9	1.0	0.5	0.8	0.8	0.8
Grants	3.8	3.4	2.8	2.6	1.8	2.4	2.2
Total expenditure	23.8	22.3	23.9	21.4	23.4	24.9	24.1
Current expenditures	19.1	17.3	19.4	16.6	16.7	16.0	15.4
Capital expenditure	3.6	4.7	4.2	4.7	6.3	8.7	8.6
Domestic arrears payments	1.1	0.4	0.4	0.1	0.4	0.2	0.2
Overall balance ³	-1.5	-2.5	-3.3	-1.7	-3.2	-4.0	-3.2
Excluding grants	-5.2	-5.9	-6.1	-4.3	-5.0	-6.4	-5.4
Financing	2.2	2.5	3.3	1.7	3.2	4.0	3.2
External financing (net)	0.5	0.6	0.7	0.5	1.8	3.1	2.4
Domestic (net)	1.8	1.9	2.6	1.2	1.4	0.9	0.8
External sector							
Current account balance	-3.2	-3.5	-1.6	-3.9	-3.5	-6.3	-6.3
(excluding grants)	-9.3	-5.2	-3.2	-5.4	-4.5	-7.4	-7.3
Gross international reserves (months of prospective imports) ⁴	3.7	3.7	3.4	3.9	3.6	3.7	3.6
Public debt							
Total central government debt (end-period)	26.0	26.4	25.7	26.8	26.7	28.3	29.1
External	11.3	13.4	10.6	14.5	12.1	14.5	15.9
Domestic (excludes domestic arrears)	14.7	13.0	15.1	12.4	14.6	13.9	13.3

Sources: Zambian authorities; and IMF staff estimates and projections.

¹Excludes Zimbabwe.

² 2010-11 revised program projections are based on a standardized report form (SRF) which accords with the concepts and definitions of the Monetary and Financial Statistics Manual (MFSM). 2008-2009 data are based on pre-SRF monetary survey.

³ Including discrepancy between the above-the-line balance and below-the-line financing.

⁴ Includes the SDR allocation of SDR 401 million in 2009.

Table 2. Zambia: Fiscal Operations of the Central Government
(Billions of kwacha)

	2009		2010			2011		2012	2013
	EBS/10/116	Prog. Q1-Q3	Act. Q1-Q3	Prog.	Rev. Prog.	Proj.	Rev. Proj.	Proj.	Proj.
				EBS/10/116		EBS/10/116			
Revenue and grants	12,926	11,188	11,145	15,065	15,651	17,267	17,563	20,465	22,858
Revenue	10,315	8,976	10,071	12,486	13,553	15,009	15,975	18,095	20,492
Tax	9,661	8,464	9,532	11,764	12,796	14,562	15,278	17,310	19,614
Income taxes	5,073	4,422	5,347	6,109	6,983	7,414	7,849	8,648	9,459
Value-added tax	2,475	2,156	2,345	2,940	3,154	3,796	3,999	4,651	5,480
Excise taxes	1,024	979	983	1,397	1,393	1,711	1,756	2,099	2,466
Customs duties	1,089	907	857	1,318	1,266	1,641	1,674	1,911	2,208
Nontax	654	512	539	722	758	447	697	786	878
Grants	2,611	2,212	1,073	2,579	2,098	2,258	1,588	2,370	2,366
Budget support	879	1,088	662	1,088	949	907	587	786	804
Project grants	1,732	1,123	412	1,491	1,149	1,351	1,001	1,584	1,562
Expenditures	15,010	12,649	12,794	17,005	18,188	18,759	20,330	24,398	26,403
Current expenditures	11,924	9,867	10,775	13,229	14,737	14,564	14,527	15,731	16,841
Wages and salaries	5,274	4,702	4,639	6,281	6,345	6,735	7,204	7,972	8,603
Goods and services	3,188	2,756	3,209	3,581	3,982	3,957	3,545	3,814	3,880
Interest payments	1,033	855	906	1,151	1,161	1,270	1,250	1,489	1,775
Transfers and Subsidies	2,429	1,555	2,020	2,215	3,249	2,602	2,528	2,456	2,583
Capital expenditure	2,808	2,624	1,853	3,507	3,182	4,128	5,486	8,489	9,386
Of which: domestically financed	1,842	1,911	1,582	2,393	2,302	3,291	3,217	4,519	5,787
Domestic arrears payments	278	157	166	269	269	67	316	179	176
Discrepancy (-overfinancing) ¹	311	0	224	0	0	0	0	0	0
Overall balance									
Including grants	-1,772	-1,461	-1,425	-1,939	-2,537	-1,492	-2,766	-3,933	-3,545
Excluding grants	-4,383	-3,673	-2,499	-4,519	-4,634	-3,750	-4,354	-6,303	-5,911
Financing	1,772	1,461	1,425	1,939	2,537	1,492	2,766	3,933	3,545
External financing (net)	385	75	171	452	537	411	1,546	3,044	2,645
Of which: budget support	159	209	194	279	324	162	199	96	96
Domestic financing (net)	1,387	1,386	1,255	1,487	2,000	1,081	1,221	889	900
Bank financing	1,546	1,161	1,433	1,187	2,177	781	1,074	667	532
Nonbank financing	-159	225	-178	300	-178	300	147	222	368
<i>Memorandum items:</i>									
Overall balance, excl. budget grants and mining taxes	-3,287	-3,104	-3,459	-3,955	-5,150	-3,835	-5,261	-6,342	-5,716
Primary balance	-739	-606	-519	-788	-1,376	-222	-1,516	-2,444	-1,770
Primary balance, excluding mining taxes	-1,375	-1,161	-1,891	-1,715	-3,040	-1,658	-3,425	-4,067	-3,137
Mining taxes	636	555	1,372	927	1,664	1,436	1,908	1,622	1,367
External budget support	1,038	1,298	855	1,367	1,273	1,069	785	882	900
Stock of domestic government securities	9,502	...	...	9,961	11,502	10,839	12,722	13,612	14,512

Sources: Zambian authorities; and IMF staff estimates and projections.

¹Discrepancy largely reflects changes in the carryover of budgetary releases.

Table 3. Zambia: Fiscal Operations of the Central Government
(Percent of GDP)

	2009	2010				2011		2012	2013
		Prog.	Act.	Prog.	Rev. Prog.	Proj.	Rev. Proj.	Proj.	Proj.
		Q1-Q3	Q1-Q3						
	EBS/10/116	EBS/10/116				EBS/10/116			
Revenue and grants	20.0	14.6	14.7	19.7	20.6	19.7	20.2	20.9	20.9
Revenue	16.0	11.8	13.2	16.3	17.8	17.1	18.4	18.5	18.7
Tax	15.0	11.1	12.5	15.4	16.8	16.6	17.6	17.7	17.9
Income taxes	7.9	5.8	7.0	8.0	9.2	8.4	9.0	8.8	8.6
Value-added tax	3.8	2.8	3.1	3.8	4.1	4.3	4.6	4.7	5.0
Excise taxes	1.6	1.3	1.3	1.8	1.8	1.9	2.0	2.1	2.3
Customs duties	1.7	1.2	1.1	1.7	1.7	1.9	1.9	1.9	2.0
Nontax	1.0	0.7	0.7	0.9	1.0	0.5	0.8	0.8	0.8
Grants	4.0	2.9	1.4	3.4	2.8	2.6	1.8	2.4	2.2
Budget support	1.4	1.4	0.9	1.4	1.2	1.0	0.7	0.8	0.7
Project grants	2.7	1.5	0.5	2.0	1.5	1.5	1.2	1.6	1.4
Expenditures	23.2	16.6	16.8	22.3	23.9	21.4	23.4	24.9	24.1
Current expenditures	18.5	12.9	14.2	17.3	19.4	16.6	16.7	16.0	15.4
Wages and salaries	8.2	6.2	6.1	8.2	8.3	7.7	8.3	8.1	7.9
Goods and services	4.9	3.6	4.2	4.7	5.2	4.5	4.1	3.9	3.5
Interest payments	1.6	1.1	1.2	0.6	1.5	1.3	1.5	1.5	1.6
Transfers and Subsidies	3.8	2.0	2.7	2.9	4.3	3.0	2.9	2.5	2.4
Capital expenditure	4.3	3.4	2.4	4.6	4.2	4.7	6.3	8.7	8.6
Of which: domestically financed	2.9	2.5	2.1	3.1	3.0	3.8	3.7	4.6	5.3
Domestic arrears payments	0.4	0.2	0.2	0.4	0.4	0.1	0.4	0.2	0.2
Discrepancy (- = overfinancing) ¹	0.5	0.0	0.3	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance (cash basis)									
Including grants	-2.7	-1.9	-1.9	-2.5	-3.3	-1.7	-3.2	-4.0	-3.2
Excluding grants	-6.8	-4.8	-3.3	-5.9	-6.1	-4.3	-5.0	-6.4	-5.4
Financing	2.7	1.9	1.9	2.5	3.3	1.7	3.2	4.0	3.2
External financing (net)	0.6	0.1	0.2	0.6	0.7	0.5	1.8	3.1	2.4
Of which: budget support	0.2	0.3	0.3	0.4	0.4	0.2	0.2	0.1	0.1
Domestic financing (net)	2.1	1.8	1.7	1.9	2.6	1.2	1.4	0.9	0.8
Bank financing	2.4	1.5	1.9	1.6	2.9	0.9	1.2	0.7	0.5
Nonbank financing	-0.2	0.3	-0.2	0.4	-0.2	0.3	0.2	0.2	0.3
<i>Memorandum items:</i>									
Overall balance, excl. budget grants and mining taxes	-5.1	-4.1	-4.6	-5.2	-6.8	-4.4	-6.0	-6.5	-5.2
Primary balance	-1.1	-0.8	-0.7	-2.0	-1.8	-0.4	-1.7	-2.5	-1.6
Primary balance, excluding mining taxes	-2.1	-1.5	-2.5	-3.2	-4.0	-2.0	-3.9	-4.1	-2.9
Mining taxes	1.0	0.7	1.8	1.2	2.2	1.6	2.2	1.7	1.2
External budget support	1.6	1.7	1.1	1.8	1.7	1.2	0.9	0.9	0.8
Stock of domestic government securities	14.7	...	...	13.0	15.1	12.4	14.6	13.9	13.3
Nominal GDP (in billions of kwacha)	64,616	76,385	76,015	76,385	76,015	87,756	87,014	98,012	109,488

Sources: Zambian authorities; and IMF staff estimates and projections.

¹Discrepancy largely reflects changes in the carryover of budgetary releases.

Table 4. Zambia: Monetary Accounts¹
(Billions of kwacha, unless otherwise indicated)

	2009	2010				2011	
		Sep.	Sep.	Prog.	Rev. Prog.	Proj.	Rev. Proj.
		Prog.	Act.				
		EBS/10/116		EBS/10/116		EBS/10/116	
Monetary Survey							
Net foreign assets	5,178	5,088	7,254	5,200	6,257	6,748	7,336
Net domestic assets	8,619	10,519	10,091	10,804	10,775	12,137	12,246
Domestic Claims	11,711	13,814	13,636	14,099	14,761	16,270	17,455
Net Claims on Central Government	3,698	4,859	5,050	4,885	5,795	5,667	6,869
Claims on Other Sectors	8,013	...	8,586	9,214	8,967	10,604	10,586
Claims on Other Financial Corporations	58	...	50	58	50	58	50
Claims on State and Local Government	5	...	5	5	5	5	5
Claims on Public Non-financial Corporations	208	...	84	208	84	208	84
Claims on Private Sector	7,741	...	8,447	8,943	8,828	10,332	10,447
Other Items net	-3,092	-3,295	-3,545	-3,295	-3,986	-4,133	-5,209
Broad Money (M3)	13,797	15,607	17,345	16,004	17,032	18,885	19,582.1
Quasi money (M2)	8,818	9,975	11,256	10,229	11,127	12,070	12,734
Foreign exchange deposits	4,979	5,632	6,089	5,775	5,905	6,815	6,848
Monetary Authorities							
Net foreign assets	3,996	4,227	4,914	4,207	4,217	5,661	5,295.9
Asset	9,010	9,483	10,286	9,596	9,533	11,436	10,796
Liabilities	-5,013	-5,257	-5,372	-5,389	-5,316	-5,775	-5,500
Of which: IMF liabilities	-1,600	-1,732	-1,797	-1,864	-1,868	-2,085	-2,052
Net Domestic Assets	58	91	111	241	162	-603	-405
Net Domestic Claims	254	...	334	1,288	362	1,522	-205
Net Claims on Central Government	861	...	1,375	1,217	956	1,451	956
Claims on Other Sectors	43	...	64	60	64	60	64
Other Items (Net)	-196	...	-223	-1,047	-200	-2,125	-200
Reserve money	4,054	4,318	5,025	4,448	4,379	5,057	4,891
Currency outside banks and cash in vaults	1,999	...	2,408	2,193	2,528	2,494	2,743
Other depository corporation reserves	2,034	...	2,601	2,231	1,832	2,537	2,124
Liabilities To Other Sectors	21	...	16	23	20	27	23
Memorandum items:							
Reserve money (end-of-month, annual percent change)	19.3	28.7	49.8	9.7	8.0	13.7	11.7
Broad Money (M3) (annual percent change)	7.7	17.0	30.0	16.0	23.5	18.0	15.0
Credit to the private sector (annual percent change)	-5.7	...	3.0	15.5	14.0	15.5	18.3
Velocity (Nominal GDP/M3)	4.7	...	...	4.8	4.5	4.6	4.4
Money multiplier (M3/reserve money)	3.4	3.6	3.5	3.6	3.9	3.7	4.0
Credit to the private sector (percent of GDP)	12.0	...	...	11.7	11.6	11.8	12.0
Gross foreign exchange reserves of the							
Bank of Zambia (millions of U.S. dollars)	1,758	...	...	1,849	1,886	2,378	2,158
Exchange rate (kwacha per U.S. dollar, end period)	4,641	...	...	...	...	...	...

Sources: Zambian authorities; and IMF staff estimates and projections.

¹End of period.

Table 5. Zambia: Balance of Payments¹
(Millions of U.S. dollars, unless otherwise indicated)

	2009	2010	2011	2012	2013	2014	2015
		Proj.	Proj.	Proj.	Proj.	Proj.	Proj.
Current account	-404	-258	-659	-1,270	-1,392	-1,462	-1,557
Trade balance	906	2,117	1,152	432	236	324	333
Exports, f.o.b.	4,319	6,850	6,679	6,335	6,580	7,524	8,127
Of which: copper	3,179	5,455	5,232	4,816	4,712	5,195	5,325
Imports, f.o.b.	-3,413	-4,733	-5,527	-5,903	-6,344	-7,200	-7,794
Of which: oil	-536	-632	-696	-775	-854	-930	-1,032
Services (net)	-465	-647	-798	-870	-881	-935	-991
Income (net)	-1,361	-2,167	-1,423	-1,302	-1,224	-1,333	-1,391
Of which: interest on public debt	-12	-10.1	-12	-35	-73	-105	-127
Current transfers (net)	516	439	411	470	477	482	493
Budget support grants	198	156	118	163	162	161	166
Sector-wide approach grants	106	89	58	63	66	67	69
Private transfers	212	194	235	245	249	254	258
Capital and financial account	1,005	350	898	1,471	1,668	1,747	1,987
Capital account	237	150	181	265	249	221	217
Project grants	237	150	181	265	249	221	217
External debt cancellation	0	0	0	0	0	0	0
Financial account	768	200	717	1,207	1,419	1,526	1,770
Foreign direct and portfolio investments	620	988	1,106	1,230	1,351	1,545	1,848
Other investments	148	-788	-390	-23	67	-19	-78
Medium and long-term	148	-788	-390	-23	67	-19	-78
Public sector (net)	77	119	416	679	583	549	473
Disbursements	119	162	507	742	638	580	506
Of which: budget support	33	67	40	20	19	20	21
Amortization due	-43	-43	-91	-63	-55	-31	-33
Monetary authority ²	627	0	0	0	0	0	0
Commercial banks (net)	-63	-39	12	-3	34	5	5
Other sectors	-493	-867	-818	-699	-550	-573	-555
Short-term	0	0	0	0	0	0	0
Errors and omissions	-61	0	0	0	0	0	0
Overall balance	540	92	239	201	276	285	430
Financing							
Central bank net reserves (- increase)	-540	-92	-239	-201	-275	-285	-430
Of which: Gross reserve change	-782	-147	-272	-189	-257	-250	-360
Of which: Use of Fund resources	242	55	34	-12	-18	-35	-69
Exceptional financing	0	0	0	0	0	0	0
Financing gap	0	0	0	0	0	0	0
<i>Memorandum items:</i>							
Current account (percent of GDP)	-3.2	-1.6	-3.5	-6.3	-6.3	-6.0	-5.8
Current account, excluding grants (percent of GDP)	-5.5	-3.2	-4.5	-7.4	-7.3	-7.0	-6.7
Change in copper export volume (percent)	16.0	11.2	10.1	-1.6	6.0	10.3	2.5
Copper export price (U.S. dollars per tonne)	5,165	7,100	6,950	6,500	6,000	6,000	6,000
Total official grants (percent of GDP)	4.2	2.5	1.9	2.4	2.2	1.9	1.7
Gross international reserves ³	1,758	1,886	2,158	2,348	2,605	2,855	3,215
In months of prospective imports	3.7	3.4	3.6	3.7	3.6	3.7	3.7
GDP (millions of U.S. dollars)	12,805	15,803	18,581	20,255	22,060	24,260	26,718

Sources: Zambian authorities; and IMF staff estimates and projections.

¹Disbursements and imports related to possible future hydropower projects are not included.

²SDR allocation, long term liability.

³Reserves are evaluated at market exchange rates.

Table 6. Zambia: Financial Soundness Indicators
(Percent, unless otherwise indicated)

	2006	2007	2008	2009	2010 Aug
Capital adequacy					
Regulatory capital to risk-weighted assets	20.4	18.6	18.6	22.3	23.4
Tier 1 regulatory capital to risk-weighted assets	18.0	15.9	15.7	18.9	20.3
Capital to total assets	9.1	9.2	9.9	11.2	11.0
Asset quality					
Past due advances (NPL) to total advances	11.3	8.8	7.2	12.6	14.9
Loan loss provisions to nonperforming loans	83.3	73.2	104.6	86.6	80.5
Bad debt provisions to advances	6.8	6.4	6.1	10.9	12.0
Loan concentration					
Households	16.1	15.5	30.1	30.9	32.1
Government and parastatals	6.2	9.1	1.9	3.1	1.8
Agriculture	23.9	18.4	16.0	19.0	17.0
Mining	4.4	4.1	5.0	4.0	3.0
Manufacturing	14	11.0	11.0	12.0	14.0
Construction	2.4	3.7	4.0	3.0	4.0
Services	9.8	13.3	9.0	8.0	6.0
Others	23.2	25.0	23.0	20.0	22.1
Earnings and profitability					
Return on average assets	5.1	4.7	3.6	2.1	2.8
Return on equity	30.6	35.1	20.8	9.4	14.0
Gross interest income to total gross income	60.2	63.1	66.6	65.1	60.8
Gross noninterest income to total gross income	39.8	36.9	33.4	34.9	39.2
Net interest margin	12.8	11.5	10.4	10.7	9.9
Liquidity					
Liquid assets to total assets	41.3	37.6	35.5	38.0	43.4
Liquid assets to total deposits	49.6	46	49.9	52.6	57.8
Advances to deposits ratio	49	57.4	66.3	60.1	51.8
Exposure to foreign currency					
Foreign currency loans to total gross loans	34.0	32.5	42.1	36.4	35.1
Foreign currency liabilities to total liabilities	61.2	27.1	35.8	38.0	37.7
Net open position in foreign exchange to capital	9.4	7.1	6.9	2.5	5.4

Source: Bank of Zambia.

Table 7. Zambia: Indicators of Capacity to Repay the Fund

	2010	2011	2012	2013	2014	2015	2016
Fund obligations based on existing credit (in millions of SDRs)							
Principal	0.6	3.3	7.7	11.7	23.1	43.4	44.4
Charges and interest	0.1	0.2	0.8	0.8	0.7	0.6	0.5
Fund obligations based on existing and prospective credit (in millions of SDRs)							
Principal	0.6	3.3	7.7	11.7	23.1	43.4	49.9
Charges and interest	0.1	0.2	0.9	0.8	0.8	0.7	0.6
Total obligations based on existing and prospective credit							
In millions of SDRs	0.6	3.5	8.6	12.5	23.9	44.2	50.5
In millions of US\$	0.9	5.3	13.0	19.1	36.4	67.4	77.0
In percent of exports of goods and services	0.0	0.1	0.2	0.3	0.5	0.8	0.8
In percent of debt service ¹	1.7	4.9	11.9	13.1	21.2	29.5	29.7
In percent of GDP	0.0	0.0	0.1	0.1	0.2	0.3	0.3
In percent of Gross International Reserves	0.0	0.2	0.6	0.7	1.3	2.1	2.1
In percent of quota	0.1	0.7	1.8	2.6	4.9	9.0	10.3
Outstanding Fund credit							
In millions of SDRs	256.2	271.3	263.6	251.9	228.8	185.3	135.5
In millions of US\$	388.4	412.4	401.1	383.8	349.0	282.7	206.6
In percent of exports of goods and services	5.4	5.9	6.0	5.5	4.4	3.3	2.1
In percent of debt service ¹	717.3	380.5	365.3	264.1	203.0	123.7	79.7
In percent of GDP	2.5	2.2	2.0	1.7	1.4	1.1	0.7
In percent of Gross International Reserves	20.6	19.1	17.1	14.7	12.2	8.8	5.6
In percent of quota	52.4	55.5	53.9	51.5	46.8	37.9	27.7
Net use of Fund credit (in millions of SDRs)	36.2	22.1	-7.7	-11.7	-23.1	-45.3	-49.9
Disbursements	36.8	25.4	0.0	0.0	0.0	0.0	0.0
Repayments	-0.6	-3.3	-7.7	-11.7	-23.1	-45.3	-49.9
<i>Memorandum items:</i>							
Exports of goods and services (in millions of US\$)	7,144	7,024	6,712	6,991	7,975	8,624	9,749
Debt service (in millions of US\$) ¹	54	108	110	145	172	228	259
Nominal GDP (in millions of US\$)	15,803	18,581	20,255	22,060	24,260	26,718	29,506
Gross International Reserves (in millions of US\$)	1,886	2,158	2,348	2,605	2,855	3,216	3,658
Quota (millions of SDRs)	489	489	489	489	489	489	489

Sources: IMF staff estimates and projections.

¹Total central government debt service; it includes IMF repayments.

Table 8. Zambia: Schedule of Disbursements Under the ECF Arrangement¹

Availability	Current		Conditions for Disbursement
	Millions of SDRs	Percent of quota	
June 4, 2008	6.987	1.429	Board approval of the three-year ECF arrangement
November 30, 2008 ²	6.987	1.429	Board completion of the first review based on observance of performance criteria for June 30, 2008
May 1, 2009 ²	99.923	20.430	Board completion of the first and second review based on observance of performance criteria for June 30 and December 31, 2008
November 30, 2009	51.013	10.430	Board completion of the third review based on observance of performance criteria for June 30, 2009
June 30, 2010	18.395	3.761	Board completion of the fourth review based on observance of performance criteria for December 31, 2009
November 30, 2010	18.395	3.761	Board completion of the fifth review based on observance of performance criteria for June 30, 2010
May 15, 2011	18.395	3.761	Board completion of the sixth review based on observance of performance criteria for December 31, 2010
Total disbursements	220.095	45.0	

Source: IMF staff estimates.

¹Original ECF disbursements of SDR 48.91 million (10 percent of quota) during 2008–11; and augmentation of SDR 171.2 million (35 percent of quota) during 2009–11; in total, SDR 220.1 million (45 percent of quota) during 2008–11.

²Disbursement made available upon completion of the first and second reviews on May 1, 2009.

APPENDIX I. LETTER OF INTENT



Republic of Zambia

MINISTRY OF FINANCE AND NATIONAL PLANNING OFFICE OF THE MINISTER

[Website: www.mofnp.gov.zm, email: mtf@moftp.gov.zm]

REF: MFAL/102/12/932

November 24, 2010

Mr. Dominique Strauss-Kahn
Managing Director
International Monetary Fund
Washington, D.C. 20431
USA

Dear Mr. Strauss-Kahn,

The attached Memorandum of Economic and Financial Policies (MEFP) reviews recent economic developments and progress in implementing the Government of the Republic of Zambia's macroeconomic and structural program under the country's three-year arrangement under the Extended Credit Facility (ECF), approved by the IMF Executive Board on June 4, 2008. It also sets out macroeconomic policies and structural reforms the government will pursue for the remainder of 2010 and for 2011.

The Government requests that the sixth disbursement be made available upon completion of the fifth review by the Executive Board of the IMF. All of the performance criteria for the fifth review under the ECF arrangement were met. Unfortunately, we misreported that a loan received from the OPEC Fund for International Development was concessional, when in fact it was just below the concessionality threshold of 35 percent by 0.26 percent. We regret this event, and are strengthening our debt management capacity to prevent a recurrence. We request a waiver for the nonobservance of the end-December 2009 nonconcessional debt ceiling.

Structural reforms are progressing well. The structural benchmark for end-September 2010 on the review of tax administration and policy was met, and we are requesting a modification of the definition (but not the substance) of the end-December 2010 benchmark on the

Treasury Single Account owing to a change in our approach. We are requesting a one-month delay in the timing of the benchmark for the planning and budgeting act to end-January 2011, in order to allow for further consultations. While the lender-of-last resort framework was in place by end-June 2010 (thus meeting that portion of the related benchmark), the submission of relevant draft legislation on the financial sector contingency plan will take more time to allow a full set of consultations with stakeholders. We are now aiming to submit the draft legislation to parliament by end-May 2011.

The Government believes that by adhering to the policies and measures set forth in the attached MEFP, it is well placed to achieve the objectives of the program. We updated the economic program for the remainder of 2010 to take into account recent developments, including the government's role in the purchase of the surplus maize, and we request modifications to the end-December 2010 performance criteria. The policies and measures detailed in the MEFP for 2011 are solid and consistent with achieving the objectives of the program. We request that the ceiling on nonconcessional borrowing be shifted from a project basis to a sectoral basis.

The Government is firmly committed to the objectives of the program and will promptly take any additional measures necessary for their achievement. The Government remains committed to regular consultations with the IMF—at our own initiative or whenever the Managing Director of the IMF requests such a consultation—on the adoption of these measures and in advance of revisions to the policies contained in the MEFP, in accordance with the Fund's policies on such consultations.

The Government authorizes the IMF to publish this letter, the attached Memorandum of Economic and Financial Policies, and the related Staff Report, including placement of these documents on the IMF website subject to the removal of market-sensitive information, following the IMF Executive Board's conclusion of the review.

Yours sincerely,

/s/

Dr. Situmbeko Musokotwane
Minister of Finance and National Planning

Attachments: - Memorandum of Economic and Financial Policies
- Technical Memorandum of Understanding for the 2010–11 Extended Credit Facility (ECF) arrangement

ATTACHMENT I. ZAMBIA: MEMORANDUM OF ECONOMIC AND FINANCIAL POLICIES

1. This memorandum reviews recent economic developments and outlines policies that the government of the Republic of Zambia will pursue for the remainder of 2010 and for 2011 under the Extended Credit Facility (ECF) arrangement.
2. The ECF supports the implementation of the second half of the Fifth National Development Plan 2006–10 (FNDP). The FNDP underscores the need to create an environment conducive to private sector growth through sustained macroeconomic stability, public sector efficiency and accountability, and investments in infrastructure and social sectors. The program is consistent with these principles and objectives, and has focused on maintaining macroeconomic stability; creating fiscal room for investments in the roads, energy, and social sectors; and removing constraints to private sector-led growth and to economic diversification away from copper mining.
3. The government expects to launch its Sixth National Development Plan 2011–15 (SNDP) by end-December 2010. The areas of emphasis under the SNDP are the two main binding constraints to growth and poverty reduction: inadequate infrastructure and human development. Investments in these areas will be increased in line with the government's strategic objectives of accelerating economic diversification and meeting its Millennium Development Goals. The SNDP will also improve the effectiveness of government planning and spending by taking on board lessons gained from the implementation of the FNDP.

I. RECENT ECONOMIC DEVELOPMENTS

4. **Growth in the Zambian economy is expected to be higher than projected earlier.** Revised projections indicate that real GDP growth in 2010 will be 6.6 percent on the back of the continued strength of the agriculture, mining, and construction sectors, and a rebound in the tourism sector. The 2010 agricultural harvest was the highest recorded in history. Mining benefitted from higher-than-expected copper prices, which were more than 41 percent higher than in 2009. Tourism, aided by recovery in the world economy, the FIFA World Cup in South Africa, and the reduction in visa fees, experienced a strong rebound from the negative growth in 2009. Gross international reserves are expected to rise to above US\$1.9 billion (net of encumbered reserves) at end-2010, equivalent to 3½ months of prospective imports. The growth in reserves largely reflected net proceeds from the sale of Zamtel and increased mining receipts. Inflation has largely remained under control as a result of lower food prices. Zambia remains on track to achieve its end-year inflation target of 8 percent, although there remain some downside risks as a result of non-food inflationary pressures arising from an increase in energy prices.
5. **Fiscal performance in 2010 was broadly in line with expectations, other than the need to address the maize purchase late in the year.** As of end-September 2010, domestic revenues had performed well, and are expected to over perform by 9 percent by the end of the year. This performance is attributed to higher collections under income and value added taxes

arising from the collection of tax arrears and an increase in tax collections from mining companies. Total expenditure was 7 percent higher than budgeted, as Government faced additional expenditure pressures, which included transfers to the Food Reserve Agency (FRA) in order to finance maize purchases, the fuel subsidy early in 2010, which has since been removed, and numerous by-elections. In order to finance these activities, the overall fiscal deficit (including grants) is projected at 3.3 percent of GDP, higher than the program target of 2.5 percent of GDP.

6. **The country recorded an unprecedented maize harvest of nearly 2.8 million metric tonnes in 2010.** The budgetary allocation to FRA was inadequate to buy all the surplus maize from small-scale farmers. As the domestic market could only absorb 2 million metric tonnes, Government (through FRA) decided to buy 800,000 metric tonnes at a cost of K 1,301 billion (about 1.7 percent of GDP), so as to avoid the crop going to waste by remaining unsheltered in the fields with the onset of the rainy season. Purchase of the maize will be financed using K495 billion of mining tax arrears, K 402 billion of additional sales of government securities, K 95 billion using a bridge loan from the Bank of Zambia, K 150 billion from the 2010 budgetary allocation, and K179 billion of FRA borrowing from Commercial Banks. The Bank of Zambia is committed to undertake sterilization operations to ensure that its liquidity injection does not fuel inflation. In order to recover part of these funds, FRA intends to sell the bulk of the maize to deficit countries in the region in 2011 and thereafter, and repay the government.

7. **The implementation of monetary policy during the first half of 2010 was in line with the program, though broad money growth was higher than expected.** Broad money stood at K 16,065 billion at end-June 2010, growing at 24.5 percent on a 12-month basis. The higher broad money growth reflects a recovery in domestic credit and increased net foreign assets of commercial banks consistent with the improvement in external performance. Reserve money stood at K4,183 billion at end-June, growing at 24 percent on a 12-month basis. This was within the indicative target of K 4,277 billion for end-June 2010. By the end of 2010, reserve money is projected to grow by 8 percent to K 4,380 billion from the end-December 2009 level of K 4,054 billion. Growth of credit to the private sector, though sluggish in 2009, began to recover posting a 7.6 percent growth during the first six months of 2010 and is expected to grow by 15 percent during the whole of 2010.

8. **The balance of payments position continued to improve during the first half of 2010, as copper exports remained high.** A current account surplus of US\$203.7 million was recorded compared with a deficit of US\$284.8 million during the same period in 2009, explained by increased copper and cobalt export volumes and the recovery of metal prices on the international market. The overall balance of payments deficit, however, widened to US\$175.7 million from US\$121.3 million recorded during the corresponding period in 2009, largely on account of a rise in assets held abroad by the private sector. As a result, the international reserves position stood at US\$1.6 billion at end-June 2010, rising further to about US\$1.9 billion as of October 21, 2010.

9. **The supply of petroleum products during the year was reliable and stable.** This was on account of Government entering into long-term supply contracts for the supply of fuel. Following the reinstatement of full cost recovery pricing of petroleum products, domestic prices for petroleum products were adjusted twice by an average of 15 percent and 12.2 percent in January and May 2010 respectively. Other developments included the introduction of uniform prices for domestic petroleum products across the country.

10. **The program was on track during the first half of 2010** (Tables 1 and 2). All quantitative performance criteria and indicative targets were met. However, the payment of domestic arrears was less than the indicative target on domestic arrears clearance. Government policy on the payment of arrears stipulates that payment only be made for cases that have cleared the pre-requisite investigation and verification process. As such, the remaining arrears by the Government are for cases that have yet to clear this process. With regard to structural reforms, Cabinet approved the pay policy reform in the first half of 2010. The new policy aims at strengthening payroll management and increasing the productivity of the public sector by putting in place an incentive-based pay structure. The benchmark on electricity tariffs was met (with a modest delay of under 4 weeks), with tariffs being raised by an average of 25.6 percent in July 2010. The benchmark on the establishment of a lender of last resort framework was partly met, with some delays occurring in the preparation of draft legislation governing the financial sector contingency planning in the event of a financial crisis. The delays were on account of the consultation process taking longer than expected. It is expected that the relevant draft legislation will be submitted to parliament by end-May 2011.

11. **The Government regrets the miscommunication in the reporting of the terms of the loan from the OPEC Fund for International Development for the development of the Cancer Diseases Hospital Project that has resulted in a misreporting case.** It was not Government's intention to provide to the staff a wrong interest rate for the loan. The initially reported interest rate of 1.25 percent was provided based on the request that the Government had made to OPEC Fund to revise the rate downwards from 1.5 percent. However, after receiving the loan agreement, it was realized that the rate had not been changed from 1.5 percent. This is the rate that was reported to the mission during the September 2010 mission. To avoid similar miscommunication in future, the Government will ensure that only terms of signed and received agreements are provided to the mission, in addition to subjecting loan agreements to the Fund for scrutiny prior to signing.

II. MEDIUM-TERM MACROECONOMIC FRAMEWORK

12. **Medium-term growth projections have been revised upwards from earlier estimates, as a result of recent economic developments.** Real GDP growth in 2011 has been revised upwards to 6.4 percent from an earlier projection of 6.0 percent. Growth in 2011 will continue to be driven by the mining sector and aided by continued growth in the construction sector. Investments in the reopened Luanshya Copper Mine have been accelerated and copper production is expected to increase in 2011. The development of another new copper mine is expected to continue in 2011, and there has been an increase in exploration activities for a variety of mineral resources, including copper, nickel and uranium. A revival in manufacturing, which suffered from the effects of the global crisis, is also expected in 2011. Medium-term growth continues to be premised on the attainment of government policy initiatives aimed at promoting economic diversification and dismantling structural constraints to doing business. New energy and mining projects are expected to underpin medium-term growth projections.

13. **In order to finance investments in infrastructure and in the social sectors, the fiscal policy stance will remain broadly unchanged over the next few years.** This stance will remain consistent with debt sustainability, so as to safeguard macroeconomic stability and leave room for private sector borrowing. Over the period 2011–13, the overall fiscal deficit (including grants) is expected to remain broadly unchanged at an average of 3.4 percent of GDP, compared to 3.3 percent in 2010. In order to address the challenge of increasing revenues to the Treasury, a comprehensive reform of the current tax system will be undertaken (drawing on a review of the tax system) with the aim of increasing compliance and broadening the tax base. The reform will focus both on improving the tax system and modernising tax administration. Some key milestones will include the implementation of an Integrated Domestic Taxes Administration System; development of the Tax Administration Act; and upgrading of communication infrastructure to streamline operations and improve service delivery.

III. POLICIES FOR 2011

A. Fiscal Policy

14. **Within the framework of an increased fiscal space, fiscal policy will aim to increase spending on infrastructure and the social sectors.** Revenues are projected to increase to 18.4 percent of GDP, mainly on account of an increase in nonmining company tax, withholding tax and VAT on domestic goods and services. VAT will be increased through the introduction of tax measures aimed at increasing compliance and broadening the tax base. Some of the measures will include standard rating of property and casualty insurance, as well as fee based banking services for VAT purposes. The Government believes the current mining tax regime is fair, equitable and buoyant enough to provide adequate revenues to the Government. The Government's focus will now be to fully enforce this tax and ensure that all the mining companies pay in accordance with the current laws. Expenditures will decline by

about 2/3 of a percentage point to 23.4 percent of GDP, with 3.6 percentage points financed using foreign grants and loans. The wage bill will remain at 8.3 percent of GDP, with tight limits on new hiring (limited to teachers, medical personnel, and police officers) and a temporary freeze on replacing staff that leave the civil service. Financing for the social sectors and infrastructure development is projected to increase to 50 percent of the budget, compared to a projected outturn of 36 percent in 2010. The overall fiscal deficit (including grants) is projected to decline by 0.1 percentage points to 3.2 percent of GDP, while domestic financing will be limited to 1.4 percent of GDP.

B. Monetary and Exchange Rate Policies

15. **The Government will aim at reducing inflation to 7 percent by the end of 2011.** Broad money is projected to expand by 15 percent, broadly in line with nominal GDP. The money multiplier is expected to increase gradually as the trend decline in ratio of currency in circulation to deposits continues. Consistent with this, reserve money is targeted to grow by 11.7 percent during 2011. Short-term interest rates are expected to return to positive real levels and the yield curve is expected to flatten.

16. **The current reserve money-based program will remain in place,** while at the same time progress is being made towards the use of interest rates as the main instrument to anchor inflationary expectations. The Bank of Zambia is in the process of developing an operational framework to ensure a smooth eventual migration. The Bank will draw on technical assistance from the IMF to ensure the adoption of international best practices.

17. **The government will continue to maintain a flexible exchange rate regime.** Interventions in the foreign exchange market will be limited to smoothing excessive fluctuations, while allowing for a gradual build up of international reserves.

C. Structural Policies

Public financial management

18. **The Government remains committed to improving the management of public finances.** Progress has been made in preparing the draft Planning and Budgeting Act for submission to Parliament. A series of consultations with stakeholders is likely to delay its submission to parliament to end-January 2011.

19. **The pilot implementation of the Integrated Financial Management System (IFMIS) has been successful in its first pilot site.** IFMIS has been in use at the Ministry of Finance and National Planning since January 2010, with most financial transactions being processed through the new system. The system is still facing challenges in the funds (budget) management module, which are expected to be resolved by the end of 2010. The rollout of IFMIS to the next seven MPSAs is now scheduled to be done at the beginning of 2011, to coincide with the beginning of the new financial year. This will ease the challenge of financial

transactions for the same year being processed in two different systems. The implementation in other MPSAs will be implemented in similar cycles, that is, at the beginning of quarters or half year.

20. Work is ongoing in implementing the Treasury Single Account (TSA) across all Ministries, Provinces and Spending Agencies (MPSAs). The implementation of the TSA has been done by expenditure category, instead of by MPSA as initially planned due to challenges faced in the full rollout of IFMIS. The implementation by expenditure category has also permitted the safeguarding of the majority of public expenditure across Government. As at end-September 2010, over 98 percent of the monthly wage bill, as well as grants for the Ministry of Finance and National Planning was paid through the TSA, representing 35 percent of total budgeted expenditure from the Government. Over the next three months, all grants, capital payments and external debt (principal, interest and other related payments) will be processed through the TSA. In this regard, validation of bank accounts for grant aided institutions will be carried out to facilitate payment of grants. Certified certificates of completion of works will also be submitted to the Treasury for processing through the TSA. In view of this new approach to rolling out the TSA, the end-December structural benchmark is being amended to reflect four key categories of expenditure (namely: wages, grant-financed outlays, capital spending, and debt service), representing 67 percent of the total budget. The Government remains committed to the full rollout of the TSA, but this will require the implementation of IFMIS across all MPSAs.

21. Progress is being made in the development of a successor program to the Public Expenditure Management and Financial Accountability (PEMFA) project. A full review of PEMFA was recently undertaken, and a number of shortcomings and challenges have been highlighted. Discussions are ongoing with Cooperating Partners to develop a successor program. While details of the draft successor program are still being developed, the new program is expected to continue on the foundations built by the PEMFA project.

Financial sector development

22. The government remains committed to the development of the financial sector through the implementation of the second phase of the Financial Sector Development Plan (FSDP II), which runs from January 2010 to December 2012. The FSDP Phase II focuses on three main pillars, namely, (i) enhancing market infrastructure; (ii) increasing competition; and (iii) increasing access to finance. The FSDP Phase II is envisaged to deal with outstanding and long-term issues including the harmonisation of financial sector laws, enhancement of financial education and the formal financial safety net (through development of a Deposit Protection Scheme), establishment of the sovereign credit rating, as well as the implementation of a national switch.

23. The Bank of Zambia revised its lender of last resort policy by end-June 2010 to align it with accepted international standards and ensure its effectiveness and relevance. Progress is also being made towards the implementation of the financial sector contingency

plan to address the impact of a system-wide crisis in the financial sector and the broader economy.

Maize

24. **The Government is well aware of the challenges that have arisen from financing this year's maize surplus.** It is therefore determined to handle any future surpluses in a way that minimizes the risk posed to the budget, to private sector credit and to financial stability. In this regard, the Government has appointed a committee of senior officials to examine the current maize marketing, and pricing mechanisms so as to better serve the Zambian people. The committee will specifically establish a pricing system for maize that is reflective of market conditions and will act as an incentive to the farmer, setup a purchasing arrangement for maize in both deficit and surplus times while limiting budgetary exposure, submit a financing plan for maize purchase for 2010/11 and ascertain and document storage capacity in the country. The committee will conduct its business within a period of three months and make recommendations to Cabinet. The submission of the committee's report to cabinet by end-March 2011 will constitute a structural benchmark in the program.

Energy

25. **The Government is committed to making further progress in 2011 towards achieving cost reflective electricity tariffs by 2012.** While Zesco has been given an indicative tariff increase of 17 percent for 2011, the Energy Regulation Board (ERB) Act requires Zesco to formally apply for the tariff increase each year. The application is subjected to public hearings and evaluation of the company's performance under the ERB/Zesco agreed Key Performance Indicators. The outcome of the two exercises will determine the actual level of increase.

26. **The policy of cost reflective pricing for petroleum will be maintained in 2011.** The Government will adjust the prices of petroleum products to reflect the cost of each shipment. This will enable the Government to avoid the accumulation of deficits.

27. **The development of the Kafue Gorge Lower Project is now expected to commence in mid-2011.** The Government recently signed a Memorandum of Understanding with the Sinohydro Corporation for the development of the project. Work is already underway to develop access roads to the facility, and geotechnical sampling work has commenced. The project will be developed through a public-private partnership, which will involve 35 percent equity participation from the Zambian Government (approximately US\$200 million). Generation is expected to come on-stream by 2017 and will add over 600MW of electricity. Work is also continuing on the development of the Kariba North Bank Extension project, which is likely to be completed in 2013. A number of other public and private sector mini-hydro facilities will also be developed over the medium term, with the aim of increasing total power generation and rural access to electricity.

Governance

28. **The Government remains committed to resolving outstanding issues that have delayed the disbursement of Cooperating Partner resources.** In particular, revelations of financial management irregularities, first in the Health sector in 2009, and then in the Roads sector this year, have lead to delays in donor disbursements. As a result, significant shortfalls in donor financing, including budget support, are expected in 2010. The Government has resolved all outstanding issues with Cooperating Partners and expects a resumption of disbursements.

29. **The Government remains committed to fully addressing the governance challenges in the roads sector.** On the basis of the special audit of the Road Development Agency (RDA) by the Auditor General's office, corrective actions to remedy the financing and administrative anomalies have been undertaken. For a start, the Boards of the RDA and NFRA were disbanded and replaced and disciplinary actions taken against some members of staff. Additionally, measures are being undertaken to enhance inter-agency coordination. Further, the Government will, by the end of 2010, enhance capacity in internal audit, procurement, financial management and monitoring activities at the Road Development Agency. Currently, Government is working with Stakeholders to draw-up a bankable ROADSIP II programme.

30. **Government is continuing to make progress under the health sector governance action plan.** After completing a first round of actions that resulted in a partial release of cooperating partner sectoral funds, progress is being made on indicative medium-term actions that will trigger the disbursement of second tranche funds. These include the strengthening of financial management, accounting and procurement functions. In this regard a financial, procurement, and systems audit was commissioned and is expected to be completed in November 2010. Based on the recommendations of the audit, the Government in collaboration with Cooperating Partners will develop a plan for strengthening accountability and financial controls in the Ministry of Health. In the meantime, the Government is strengthening internal audit, accounting, and procurement functions, including the fiduciary function of management, through constant training of staff in short- and long-term courses. Further, the Audit Committee at the Ministry, with external members, has been constituted and has been having regular meetings to provide financial oversight. The Office of the Auditor General has continued to give support to internal audit by carrying out pre- and postaudit exercises and quarterly review of expenditure.

Debt and debt management

31. **In line with national development priorities, Government will scale up investment in infrastructure in order to keep up with the ever increasing infrastructure demand of its growing economy.** To this end and considering the level of investment required, Government intends to finance projects with high economic and social returns through concessional and nonconcessional external borrowing. Government will ensure that all borrowing is within sustainable limits. In the context of the program, Government would like

to shift from nonconcessional borrowing tied to specific projects to a sector-based approach (focusing on electricity and roads), while adhering to the overall ceilings on nonconcessional borrowing in the program, Strengthening debt management and project appraisal capacity will be a key ingredient to this approach.

32. **The Government sees room for improvement in the existing debt management capacity in the debt department and will strengthen it accordingly.** It is therefore taking measures to strengthen its capacity by reorganizing staff in the external debt recording unit and external debt management unit through staff movements. The upcoming restructuring, in 2011, along functional lines into what will become the debt management office will be in line with international best practices. Over the medium term, the staff will be trained and retrained in debt management with the assistance multilateral capacity building institutions. Further, Government will embark on a reconciliation exercise for the electronic and manual debt data to improve accuracy. The Government will consult IMF staff to determine the concessionality of new loans prior to signing.

33. **The Government will continue consolidating its capacity in carrying out project appraisals.** It is essential that scarce resources are applied to projects that have a high economic rate of return and have the most social and economic benefit to the people. In addition, Government will continue carrying out feasibility studies to ensure that projects have least impact on the natural environment, and communities. In cases where capacity to carry out project appraisal and feasibility studies are inadequate, the Government will continue contracting private sector experts. In the medium term, the Government has been offered grant financing by the Development Bank of Southern Africa to assist SADC countries to prepare comprehensive project appraisals for projects identified under the SNDP. This will ensure value for money.

34. **Considerable progress has been made in the capturing and recording of aid data.** As a result of substantial efforts involving both Government and Cooperating Partners, the Government will, in 2010, publish its first Development Cooperation Report, which is expected to provide details on aid flows from Cooperating Partners. The Government is working with Cooperating partners to ensure the accuracy and reliability of the data.

IV. PROGRAM MONITORING

35. **Semi-annual disbursements under the ECF arrangement will be based on the observance of quantitative performance criteria.** Completion of the sixth review under the arrangement will be based on the observance of quantitative performance criteria through end-December 2010 (Tables 1 and 2). The sixth review is expected to be completed by end-May 2011.

MEFP Table 1. Zambia: Quantitative Performance Criteria (PC) and Indicative Targets, 2010¹
(Billions of kwacha, unless otherwise indicated)

	2010									
	2009					2010				
	Prel.	March 31		June 30		Prel.	September 30		December 31	Prog. Rev. prog.
		Indicative	Act.	Status	Prog.		Indicative	Act.	Status	
		EBS/09/195			EBS/10/116				EBS/10/116	
(Cumulative from January 1st, 2010)										
Performance criteria:										
Ceiling on the cumulative increase in net domestic assets (NDA) of the Bank of Zambia ^{2,3}	58	405	80	Met	390	209	Met	33	-271	Met
Adjusted ceiling		410			634			370		183
Ceiling on the cumulative increase in net domestic financing (NDF) ²	6,677	321	447	Not Met	825	947	Met	1,386	1,255	Met
Adjusted ceiling		152			1011			1,664		1,487
Ceiling on new external payment arrears ⁵	0	0	0	Met	0	0	Met	0	0	Met
Floor on the cumulative increase in gross international reserves (GIR) of the Bank of Zambia (Millions of U.S. dollars) ^{2,4}	1,758	-2	-22	Not Met	40	-54	Met	126	214	Met
Adjusted floor		-7			-75			66		150
Ceiling on short-term external debt and on contracting or guaranteeing of nonconcessional debt by central government, BoZ, and ZESCO, ZAMTEL, and Zambia Railways Limited (millions of U.S. dollars) ^{5,6,7}	...	0	0	Met	0	0	Met	0	0	Met
Ceiling on medium- and long-term external debt and on contracting or guaranteeing of nonconcessional debt by central government, BoZ, and ZESCO, ZAMTEL, and Zambia Railways Limited (millions of U.S. dollars) ^{5,6,7}	398	600	0	Met	600	0	Met	600	105	Met
Project-specific										600
Electricity ⁸ and road projects ⁹	316	600	0	Met	600	0	Met	600	105	Met
Other sectors	82	0	0	Met	0	0	Met	0	0	Met
Sector-specific										0
Electricity	--	--	--	--	--	--	--	--	--	--
Road	--	--	--	--	--	--	--	--	--	--
Others	--	--	--	--	--	--	--	--	--	--
Indicative targets (cumulative):										
Floor on payment of domestic arrears of the government	278	59	71	Met	153	128	Not Met	157	167	Met
Increase in reserve money (end of period)	4,054	239	-134	Met	223	89	Met	264	320	Not Met
Floor on social spending by the government of Zambia	...	930	971	Met	1875	2055	Met	2,838	3,270	Met
<i>Memorandum items:</i>										
Cumulative budget support net of Central Government debt service (U.S. dollars)		61	98		204	117		235	120	224
General budget support (Fiscal accounts) ⁹		78	108		235	136		288	156	288
Cumulative BoP support net of Central Government debt service (U.S. dollars)		61	56		162	75		194	78	182
General BoP support		78	66		193	95		246	114	246
Central Government debt service obligations (excl. IMF)	...	-17	-11		-31	-20		-52	-36	-64
Program exchange rate (Kwacha per U.S. dollar)	4,832	4,822	4,690		4,641	5,165		4,641	4,846	4,641

Sources:

¹ The definitions of the items in the quantitative program are contained in the Technical Memorandum of Understanding (TMU).² Adjustors, including for general budget support, are defined in the TMU.³ The ceiling will be adjusted for changes in the legal reserve requirements as specified in the TMU.⁴ Reserves are calculated at program exchange rates.⁵ Continuous performance criteria and cumulative from the beginning of 2010.⁶ Nonconcessional loans are those having a grant element of less than 35 percent.⁷ Up until the privatization of ZAMTEL on June 5, 2010.⁸ The electricity projects are: Kaliba North bank extension, Isach-Tetzi power station, Kaliba George Lower.⁹ The road projects are: Mulanda-Chakuma Road, Choma-Otiropo-Namwala Road, Kasama-Luwingu Road.

MEFP Table 2. Zambia: Targets, 2011¹

(Billions of kwacha, unless otherwise indicated)

	2010	2011			
	Proj.	March 31 Indicative Target	June 30 Target ²	Sep 30 Target ²	Dec 31 Target ²
(Cumulative from January 1st, 2011)					
Targets					
Ceiling on the cumulative increase in net domestic assets (NDA) of the Bank of Zambia ^{3,4}	162	-337	-129	-319	-567
Ceiling on the cumulative increase in net domestic financing (NDF) ³	8,677	284	805	1,278	1,221
Floor on the cumulative increase in gross international reserves (GIR) of the Bank of Zambia (Millions of U.S. dollars) ^{3,5}	1,909	42	64	142	272
Ceiling on new external payment arrears ⁶	0	0	0	0	0
Ceiling on short-term external debt and on contracting or guaranteeing of nonconcessional debt by central government, BoZ, and ZESCO, and Zambia Railways Limited (millions of U.S. dollars) ^{6,7}	...	0	0	0	0
Ceiling on medium- and long-term external debt and on contracting or guaranteeing of nonconcessional debt by central government, BoZ, and ZESCO, and Zambia Railways Limited (millions of U.S. dollars) ^{6,7}	...	800	800	800	800
Sector-specific					
Electricity	...	400	400	400	400
Road projects		400	400	400	400
Floor on payment of domestic arrears of the government	269	79	150	229	316
Increase in reserve money (end of period)	4,379	-21	318	444	512
Floor on social spending by the government of Zambia	3,938	1,385	2,769	4,154	5,385
<i>Memorandum items:</i>					
Cumulative budget support net of Central Government debt service (U.S. dollars)	170	26	2	26	55
General budget support	223	49	49	104	158
Central Government debt service obligations (excl. IMF)	-53	-22	-47	-78	-103
Program exchange rate (Kwacha per U.S. dollar)	4,641	4,641	4,641	4,641	4,641

Sources:

¹ The definitions of the items in the quantitative program are contained in the Technical Memorandum of Understanding (TMU).

² These targets are outside of the ECF arrangement period.

³ Adjustors, including for general budget support, are defined in the TMU.

⁴ The ceiling will be adjusted for changes in the legal reserve requirements as specified in the TMU.

⁵ Reserves are calculated at program exchange rates.

⁶ Continuous performance criteria and cumulative from the beginning of 2011.

⁷ Nonconcessional loans are those having a grant element of less than 35 percent.

MEFP Table 3. Zambia: Structural Benchmarks for 2010-11

Measure	Timing	Macro Rationale	Status
Approval by Cabinet of the pay policy reform	End-June 2010	Strengthen payroll management, and increase productivity of the public sector.	Met
Establish a Lender-of-Last Resort Framework and draft legislation and procedures for a financial sector contingency plan in the event of a crisis.	End-June 2010	Strengthen the Central Bank's crisis preparedness.	Partially Met. Draft legislation expected by end-May 2011
Submit to parliament the Planning and Budgeting Act.	End-June 2010	Strengthen public expenditure management and budget execution, including improving cash flow management and forecasts.	Reset to end-January 2011
Raise the average electricity tariff in 2010 and publicly announce indicative tariffs for 2011 consistent with the policy to reach cost-reflective levels by 2011.	End-June 2010	To ensure an efficient and sustainable power supply. Solving the current problems in the energy sector is essential to achieving the	Met with delay (July 26, 2010)
Prepare a review of tax administration and policy	End-September 2010	Strengthen revenue performance	Met
Adoption of Treasury Single Account so as to cover 60 percent of budgetary expenditures.	End-December 2010	Strengthen public expenditure management and budget execution, including improving cash flow management and forecasts.	
Submit to Cabinet a report on maize pricing policy.	End-March 2011	Preserve macroeconomic stability and minimize disruptions to private sector trading of maize.	

Source: Zambian authorities and IMF staff estimates.

ATTACHMENT II. TECHNICAL MEMORANDUM OF UNDERSTANDING FOR THE 2010–11 EXTENDED CREDIT FACILITY (ECF) ARRANGEMENT

I. INTRODUCTION

1. This memorandum sets out the understandings between the Zambian authorities and the International Monetary Fund (IMF) regarding the definitions of the quantitative performance criteria and indicative targets for the program supported by the ECF arrangement, as well as the program adjusters and the related reporting requirements.

II. QUANTITATIVE PERFORMANCE CRITERIA AND INDICATIVE TARGETS: DEFINITIONS AND DATA SOURCES

A. Net Domestic Assets (NDA) of the Bank of Zambia (BoZ)

2. Net domestic assets (NDA) of the BoZ are defined as the monthly average (based on daily data) of reserve money (as defined below) less the monthly average of net foreign assets of the BoZ calculated at kwacha 4,640.6 per U.S. dollar for 2010 and 2011.¹ Net foreign assets of the BoZ are defined as gross international reserves (defined in paragraph 9) plus any other foreign assets, minus foreign liabilities (defined in paragraph 3).² The kwacha values of net foreign assets are derived from the U.S. dollar values using the program exchange rate.

3. Foreign liabilities are defined as short term (one year or less in original maturity) liabilities of the BoZ to nonresidents, plus any outstanding use of IMF credit, plus the stock of SDRs allocations to Zambia, and plus any other medium and long term foreign liabilities of BoZ.

4. Daily data on NDA, including all its components and calculation, will be reported by the BoZ weekly in electronic format and shall be consistent with the Standard Reporting Format (SRF) for monetary accounts.

¹ Unless otherwise defined, program exchange rates for 2010 and 2011 between the U.S. dollar and other (non-kwacha) currencies will be equal to their end-December 2009 values. For the 2010 and 2011 program, the U.S. dollar/SDR rate is 1.567; the U.S. dollar/GBP rate is 1.624, the U.S. dollar/euro rate is 1.459, and the U.S. dollar/South Africa Rand is 0.133. All other assets (e.g. gold) would be revalued at their end-December 2009 market prices for 2010 and 2011.

² Other foreign assets include encumbered reserves and any other foreign assets of BoZ.

B. Reserve Money

5. Reserve money (monthly average based on daily data) is defined as currency in circulation, plus required reserves on kwacha deposits, plus required reserves on foreign currency deposits (at the program exchange rate), plus any positive current account balance of Other depository corporations (ODC) with the BoZ, and plus deposits in the BoZ of sectors other than central government.
6. Daily data on reserve money, including its components, will be reported by the BoZ weekly in electronic format and shall be consistent with the SRF for monetary accounts.

C. Net Domestic Financing (NDF)

7. Net domestic financing (NDF) is defined as the Budgetary Central Government's net borrowing from the banking and nonbanking sectors.³ All government-issued securities will be recorded at cost (face value less discount). NDF will comprise:
 - (a) the net position of the central Government with commercial banks, including:
 - (i) Treasury bills; (ii) government bonds; (iii) loans and advances; less (iv) support to Meridien Bank of Zambia (MBZ); and (v) central government deposits (defined to include account balances under the authority of controlling officers); plus
 - (b) BoZ holdings of: (i) Treasury bills; (ii) government bonds; (iii) kwacha bridge loan (overdraft facility); less (iv) the government's deposits at the BoZ; and (v) the donor suspense account; plus (vi) the outstanding amount of the long-term non-transferable security (10-Year Mega Bond) issued against the government's indebtedness to BoZ as at end-2002; plus
 - (c) Nonbank holdings of: Treasury bills; and government bonds.
8. The data source for NDF will be the "Net Domestic Financing" Table produced by the Economics Department of the BoZ. The Table will be submitted on a weekly basis in electronic format, and end-month outturns will be fully reconciled with the monthly monetary survey.

D. Gross International Reserves of the BOZ

9. Unless otherwise noted here, gross international reserves of the BoZ will be defined as reserve assets of the BoZ (See Table 2). Reserve assets are defined in the IMF BOP manual (5th edition) and elaborated in the reserve template of the IMF's special data

³ The Budgetary Central Government includes all the units identified by the budget heads listed in the Yellow Book for 2010 and listed in Table 1.

dissemination standards (SDDS). They exclude, for example, foreign assets not readily available to or controlled by the monetary authorities, and foreign currency claims on Zambian residents.

10. Gross international reserves consist of: (i) monetary gold; (ii) foreign currency; (iii) unencumbered foreign-currency deposits at non-resident banks; (iv) foreign securities and deposits; and (v) SDR holdings and Zambia's reserve position with the IMF. Gross reserves exclude non-convertible currencies, any encumbered reserve assets including but not limited to reserve assets pledged, swapped or used as collateral or guarantee for third-party external liabilities, other depository corporation reserve requirements on foreign currency deposits, and the US\$25 million deposit in MBZ (in liquidation).

11. For the purpose of this target valuation will be in U.S. dollars at program exchange rates.

12. Daily data on gross international reserves, including its components, will be reported by the BoZ weekly.

E. External Payment Arrears

13. The performance criterion on the non-accumulation of new external payment arrears is continuous. Official external payment arrears are defined as unpaid debt service by the central Government and BoZ 30 days beyond the due date and/or the grace period. This definition excludes arrears on debt subject to rescheduling.

14. Data on arrears, at program exchange rates, are compiled jointly by the Ministry of Finance and National Planning (MoFNP) and BoZ and will be reported by the MoFNP on a quarterly basis.

F. Official External Debt

15. Official medium- and long-term concessional external debt is defined as all forms of official debt with original maturity of more than one year contracted or guaranteed by the central Government, BoZ, ZESCO, and Zambia Railways Limited with nonresidents having a grant element of no less than 35 percent, since the beginning of the calendar year. The grant element is the difference between the present value (PV) of debt and its nominal value, and is expressed as a percentage of the nominal value of the debt. The PV of debt at the time of its contracting is calculated by discounting the future stream of payments of debt service due on this debt.⁴ The discount rates used for this purpose are the currency-specific commercial

⁴ The calculation of concessionality will take into account all aspects of the loan agreement, including maturity, grace period, payment schedule, upfront commissions, and management fees.

interest reference rates (CIRRs) published by the Organization for Economic Cooperation and Development (OECD).⁵ For debt with a maturity of at least 15 years, the ten-year-average CIRR will be used to calculate the PV of debt and, hence, its grant element. For debt with a maturity of less than 15 years, the six-month average CIRR will be used. To both the ten-year and six-month averages, the same margins for differing repayment periods as those used by the OECD need to be added (0.75 percent for repayment periods of less than 15 years, 1 percent for 15 to 19 years, 1.15 percent for 20 to 29 years, and 1.25 percent for 30 years or more). Lending from the IMF will be excluded.

16. This minimum grant element applies not only to debt as defined in Point 9 of the Guidelines on Performance Criteria with Respect to External Debt in Fund Arrangements (Decision No. 6230-(79/140), as subsequently amended, including by Executive Board Decision No. 14416-(09/91), effective December 1, 2009, but also to commitments contracted or guaranteed for which value has not been received.

17. Official external nonconcessional debt is defined as the contracting or guaranteeing of debt with nonresidents other than concessional debt as defined in paragraph 15, owed or guaranteed by the central Government, BoZ, ZESCO, and Zambia Railways Limited.

18. The ceiling on contracting or guaranteeing of medium and long-term nonconcessional external debt by the central government, BoZ, ZESCO, and Zambia Railways Limited excludes: (i) nonconcessional loans stemming from the rescheduling of external debt; and (ii) central government securities issued in domestic currency, placed in the domestic primary or secondary markets, and held by non-residents.

19. Official external short-term debt is defined as the contracting or guaranteeing of debt with nonresidents with original maturity of one year or less, and includes forward commodity sales but will exclude normal trade credit for imports, incurred since the beginning of the calendar year. The term “debt” has the meaning set forth in point No. 9 of the Guidelines on Performance Criteria with Respect to External Debt (Decision No. 6230-(79/140), as subsequently amended, including by Executive Board Decision No. 14416-(09/91), effective December 1, 2009.

20. Detailed data on all new external debt (concessional and nonconcessional) contracted or guaranteed by the central government, BoZ, ZESCO, and Zambia Railways Limited will be provided by the MoFNP on a monthly basis. Information will include (i) amounts contracted or guaranteed; (ii) currencies; and (iii) terms and conditions, including interest rate, maturity, grace period, payments per year, commissions and fees, and collaterals.

⁵ Available at <http://www.oecd.org/dataoecd/21/52/39085945.xls>. Where the CIRR is not available, the SDR rate shall be used.

G. Domestic Arrears of Central Government

21. Domestic arrears are defined as: (i) any bill that has been received by a spending ministry from a supplier for goods and services delivered (and verified) and for which payment has not been made within 30 days after the due date of payments; (ii) wage, salary and any other payment to government employees, including pension contributions and all forms of housing allowances, that were due to be paid in a given month but remained unpaid on the 15th of the following month; and (iii) interest or principal obligations which remain unpaid 30 days after the due date of payment.

22. Information regarding domestic arrears will be compiled through audits of the accounts of spending Ministries and agencies, conducted by the Internal Audit division of the MoFNP. The audits will be completed and data submitted to IMF staff by the Secretary of the Treasury within six weeks of the end of each quarter.

H. Floor on Social Spending

23. Social spending is defined as central government domestically financed expenditure on health and education as listed in the 2010 and 2011 Yellow Book under the functional classification. The corresponding indicative target sets the minimum spending on these sectors combined.

III. ADJUSTERS

24. The quantitative performance criteria specified under the program are subject to the following adjusters:

General budget support (GBS) net of debt service⁶

(i) The ceilings on NDA and NDF will be adjusted downward (upward) by the full amount of the excess (shortfall) in GBS net of debt service relative to the programmed levels specified in Table 1 of the MEFP.^{7,8}

(a) The total adjustment for shortfalls will be limited to US\$40 million for January-June 2010 and US\$60 million for January-December 2010.

⁶ General budget support consists of grants and loans received by the central government for financing its overall policy and budget priorities following Zambian budget procedures.

⁷ For the purpose of adjusting the NDA ceiling, external disbursements will be treated as if they were received the first day of the month. The targeted NDA will be increased by the amount of the disbursement divided by the number of business days in the month multiplied by the number of business days from the beginning of the month to the day prior to the disbursement.

⁸ For purpose of adjusting the NDF ceiling, the cumulative excess/shortfall will be converted to kwacha value using the program exchange rate.

(ii) The floors on GIR will be adjusted upward (downward) by the full amount of the excess (shortfall) in GBS net of debt service relative to the programmed levels (Table 1 of the MEFP).

Change in reserve requirements

(iv) The ceiling on NDA will be adjusted downward/upward to reflect decreases/increases in the legal reserve requirements on deposits in commercial banks. The adjuster will be calculated as the percent change in the reserve requirement multiplied by the actual amount of required reserves (kwacha and foreign-currency denominated) at the end of the previous calendar month.

IMF disbursement

(v) The floors on GIR will be adjusted upward (downward) for any excess (shortfall) in the disbursements from the IMF (U.S. dollar value at the program exchange rate) relative to the programmed levels.

BoZ short-term debt

(vi) The floor on GIR will be adjusted upward for any increase in the U.S. dollar value at the program exchange rate of BoZ short-term debt, (see definition of short-term debt above).

IV. REPORTING REQUIREMENT

25. To facilitate monitoring of the program, the information listed in Table 2 below will be reported to the IMF within the timeframe indicated. These data, and any other information needed for monitoring of adherence to program targets, will be provided electronically by email to AFRZMB@IMF.ORG.

Table 1. Administrative units comprising the Budgetary Central Government

Office of the President	Ministry of Finance and National Planning
Office of the Vice President	Ministry of Labour and Social Security
National Assembly	Ministry of Community Development and Social Services
Gender in Development Division	Ministry of Health
Electoral Commission	Ministry of Communications and Transport
Public Service Commission - Office of the President	Ministry of Works and Supply
Office of the Auditor General	Ministry of Science, Technology and Vocational Training
Cabinet Office - Office of the President	Ministry of Tourism, Environment and Natural Resources
Teaching Service Commission - Office of the President	Ministry of Sport, Youth and Child Development
Police and Prisons Service Commission	Ministry of Defence
Zambia Police - Ministry of Home Affairs	Zambia Security Intelligence Services - Office of the President
Commission for Investigations - Office of the President	Ministry of Education
Ministry of Energy and Water Development	Ministry of Lands
Ministry of Mines and Mineral Development	Anti-Corruption Commission
Ministry of Home Affairs	Ministry of Livestock, and Fisheries Development
Ministry of Foreign Affairs	Ministry of Agriculture and Cooperatives
Judiciary	Office of the President - Lusaka Province
Loans and Investments - Local Government and Housing	Office of the President - Copperbelt Province
Loans and Investments	Office of the President - Central Province
Ministry of Information and Broadcasting Services	Office of the President - Northern Province
Public Service Management Division	Office of the President - Western Province
Ministry of Local Government and Housing	Office of the President - Eastern Province
Ministry of Justice	Office of the President - Luapula Province
Ministry of Commerce, Trade and Industry	Office of the President - North-Western Province
Human Rights Commission	Office of the President - Southern Province

Table 2: Reporting Requirements

Data description	Data Freq.	Reporting		Date	Mode
		Agency	Freq.		
Monetary and financial sector					
Reserve money and its components (NDA and NFA) at current and program exchange rate	D	BoZ	W	T5	E
Excess reserves	D	BoZ	M	T5	E
Overnight interbank rates	D	BoZ	W	T5	E
Treasury bill and BoZ bill auction results	W	BoZ	W	T5	E
Interest rates	M	BoZ	M	T15	E
Holdings of government and BoZ securities by maturity and type of investors (local commercial banks, nonbanks, and foreigners)	M	BoZ	M	T15	E
Monetary survey (and the BoZ, and Other Depository Corporations surveys)	M	BoZ	M	T15	E
Commercial bank lending. Credit to the economy by sector and type of institution	M	BoZ	M	T15	E
Financial soundness indicators by banks	M	BoZ	M	T15	E
External sector					
Exchange rates	D	BoZ	W	T5	E
Gross international reserves, and foreign exchange purchases and sales	D	BoZ	W	T5	E
Copper prices	D	BoZ/CSO	W	T5	E
BoZ foreign exchange cash flow	M	BoZ	M	T10	E
Import and export data	M	CSO	M	T15	E
Balance of payments	Q	BoZ	Q	T30	E
Copper production and exports (quantities, prices and US dollar value)	M	MoF	M	T15	E
Foreign direct investment (actuals and pledges)	M	MoF/ZDA	M	T15	E
Fiscal					
Net Domestic Financing	D	BoZ	W	T5	E
Fiscal table including revenue, expenditure, and financing.	M	MOF	M	T30	E
Real sector					
Consumer price index and monthly statistical bulletin	M	CSO	M	T15	E
National accounts	A	CSO	BA	Mar. 15; Sep. 15	E
Program monitoring					
Report on IMF program performance	Q	MOF	Q	T15	E
Stock of domestic and external payment arrears	Q	AuG	Q	T15	E
Central government domestic borrowing	Q	BoZ	M	T15	E
New external loans contracted or guaranteed by the central government BoZ, ZESCO, ZAMTEL, and Zambia Railways Limited or any other agency on their behalf ¹	Q	MOF	Q	T30	E

D-Daily, W-Weekly, M-Monthly, Q-Quarterly, BA-Bi-annual A-Annual; Tx: x days after the date of the last observation; E-email, H-Hard copy

¹ Detailed information on the amounts, currencies, terms, conditions, and purpose (to finance electricity and road projects listed on the quantitative performance criteria table, or other purposes).